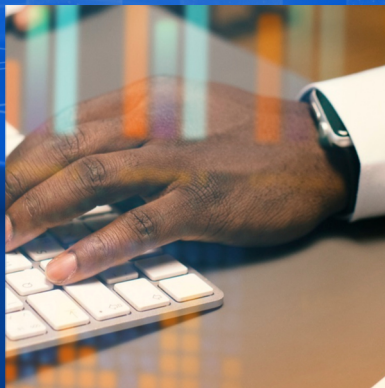


Africa's Productivity Challenge:

# Why Economic Growth Isn't Creating Enough Wealth



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# Foreword

## 1.1 Why this report matters now

Africa enters the second half of 2026 with a familiar but increasingly important contradiction. Many economies across the continent are still growing. Forecasts from major international institutions continue to point to positive output expansion in 2026 and beyond. Yet the lived economic reality across much of the continent remains defined by weak income growth, limited wealth creation, fragile firms, underemployment, informality, and persistent pressure on households. Growth is happening, but it is not traveling far enough through the economy to generate the scale of prosperity that Africa needs.

That contradiction is what makes this report necessary. For too long, the African growth story has been discussed primarily through aggregate GDP numbers, commodity cycles, election driven confidence, debt stress, or the pace of macroeconomic recovery. All of those matter. But they do not answer the deeper question. Why does economic growth so often fail to create enough wealth, productive jobs, and broad improvements in living standards? The answer lies less in the existence of growth itself than in the structure and quality of that growth.

Recent economic analysis has sharpened this point. The World Bank has warned that Africa's growth challenge is structural, rooted in low investment, weak productivity, and limited job creation. IMF analysis has similarly underlined that growth remains too weak to deliver meaningful income convergence and that labor productivity across much of Sub Saharan Africa has been broadly flat for decades. Other 2026 assessments have echoed the same message, arguing that much of Africa's recent expansion has been driven more by factor accumulation than by sustained gains in efficiency, innovation, and structural transformation. The issue, in other words, is not simply how much the economy is producing. It is how productively it is producing, and how widely the gains are shared.

This report matters now because the stakes are rising. Africa's labor force is growing faster than any other in the world. Tens of millions of young people are entering the labor market over the coming years, while fiscal space is constrained, public debt burdens remain elevated, and global conditions are more uncertain than they appeared only a few years

ago. In such an environment, countries cannot rely on growth that is shallow, low productivity, or weakly connected to formal job creation. They need growth that creates more output per worker, more value per unit of capital, stronger firms, and more durable income gains. Without that shift, headline expansion will continue to disappoint in everyday economic terms.

This is therefore not just a report about macroeconomics. It is a report about transmission. About why economic activity does not convert efficiently enough into wealth. About why firms remain too small, too informal, or too fragile to become engines of productivity. About why public investment often fails to deliver proportional returns. About why economies expand without deep enough industrial or enterprise transformation. And about what must change if Africa is to move from growth that is visible in national accounts to growth that is visible in productive jobs, rising incomes, and stronger balance sheets.

## 1.2 Why Africa's growth problem is really a productivity problem

The central argument of this report is straightforward. Africa's growth problem is, at its core, a productivity problem. The continent does not only need more economic activity. It needs economic activity that produces more value from the same labour, capital, infrastructure, and institutional effort. Productivity is what determines whether an economy merely expands or genuinely becomes wealthier. It is the difference between growth that stretches existing resources and growth that upgrades them.

When productivity is weak, economies can still grow for a time. They can add labor, expand public spending, benefit from high commodity prices, or accumulate capital. But without improvements in efficiency and capability, that growth remains fragile. It does not raise wages fast enough. It does not create enough competitive firms. It does not support rapid increases in per capita income. And it does not create the kind of economic surplus that can be reinvested in infrastructure, technology, education, and broader development.

This is precisely where much of Africa's recent history has fallen short. Labor productivity in

Sub Saharan Africa has remained nearly flat over a long period when compared with other developing regions. Total factor productivity, which captures economy wide efficiency, has contributed only modestly to growth across much of the continent. Structural transformation has happened, but often in incomplete ways. Labor has moved out of agriculture in many countries, yet not strongly enough into high productivity manufacturing or advanced tradable services. Instead, much of the shift has been into low value, low margin service activity, especially informal retail and household survival enterprises. That kind of transition may support output growth, but it does not create the depth of wealth that comes from stronger productivity ecosystems.

The implication is profound. An economy can be busy without becoming rich. It can record growth while remaining structurally weak. It can have new roads, more phones, more trade, and more urban activity while still struggling to raise average productivity fast enough to produce widespread prosperity. This is why productivity matters more than the simple count of sectors expanding or projects announced. It is the foundation of wealth creation. It determines whether labor becomes more valuable, whether firms become more competitive, and whether capital earns returns that can support reinvestment rather than merely survival.

For Africa, this challenge is especially urgent because demographics amplify the cost of inaction. A young and rapidly growing labor force can be a major economic advantage, but only if economies can absorb workers into more productive sectors and firms. Without that absorption, the demographic opportunity becomes a pressure point. Growth then gets diluted across too many low productivity activities, and the continent risks deepening the gap between economic potential and economic outcomes.

### 1.3 Why economic expansion is not translating into enough wealth

Economic expansion is not translating into enough wealth because the transmission channels are weak. Output may rise, but the chain from growth to wages, from investment to productivity, and from enterprise activity to durable wealth often breaks down before the

benefits become broad based. This weakness shows up in several ways.

First, the relationship between GDP growth and wage employment remains too weak. Recent analysis shows that in Sub Saharan Africa, a one percentage point increase in GDP growth is associated with only a very small increase in wage employment. That is a striking sign that many economies are growing without generating enough formal, stable, and reasonably paid jobs. Too many new workers still end up in own account activity, family enterprises, or low margin informal services where income growth is uncertain and productivity gains are difficult to sustain.

Second, capital is not always being converted efficiently into productive capacity. Public investment remains necessary across Africa, especially in infrastructure, energy, transport, and social development. But the efficiency of public investment is often low, meaning that a significant share of spending does not translate into the level of productive output it should. At the same time, private investment is frequently constrained by regulatory friction, high financing costs, logistics bottlenecks, and uncertainty. The result is that both public and private capital can be deployed without generating the scale of productivity gains needed to transform economic outcomes.

Third, structural transformation has been too shallow. Manufacturing has not expanded strongly enough in many countries to absorb large shares of labour into higher productivity activity. Services have grown, sometimes rapidly, but a large portion of that growth has been concentrated in segments with limited scale economies, weak export potential, and low barriers to entry. This matters because wealth creation is strongest where firms can become more productive over time, deepen capabilities, access larger markets, and reinvest in technology and skills. Too much of Africa's current growth still occurs in activities where that process is limited.

Fourth, enterprise structure remains a major constraint. Most firms in many African economies are small, informal, and weakly capitalized. That limits their ability to train workers, adopt technology, access formal finance, or benefit from economies of scale. Productivity gains are harder to achieve in economies dominated by firms that are surviving rather than compounding. If medium

sized and large enterprises remain too few, then the transmission from growth to productivity, jobs, and wealth will remain narrow.

This is why the report uses the phrase “not creating enough wealth” rather than simply “not growing fast enough.” Wealth creation is a deeper standard. It asks whether growth is building productive assets, stronger firms, more valuable work, higher incomes, and better long term balance sheets for households, businesses, and states. On that standard, the continent’s challenge is sharper than the growth numbers alone suggest.

### 1.4 Scope, audience, and report logic

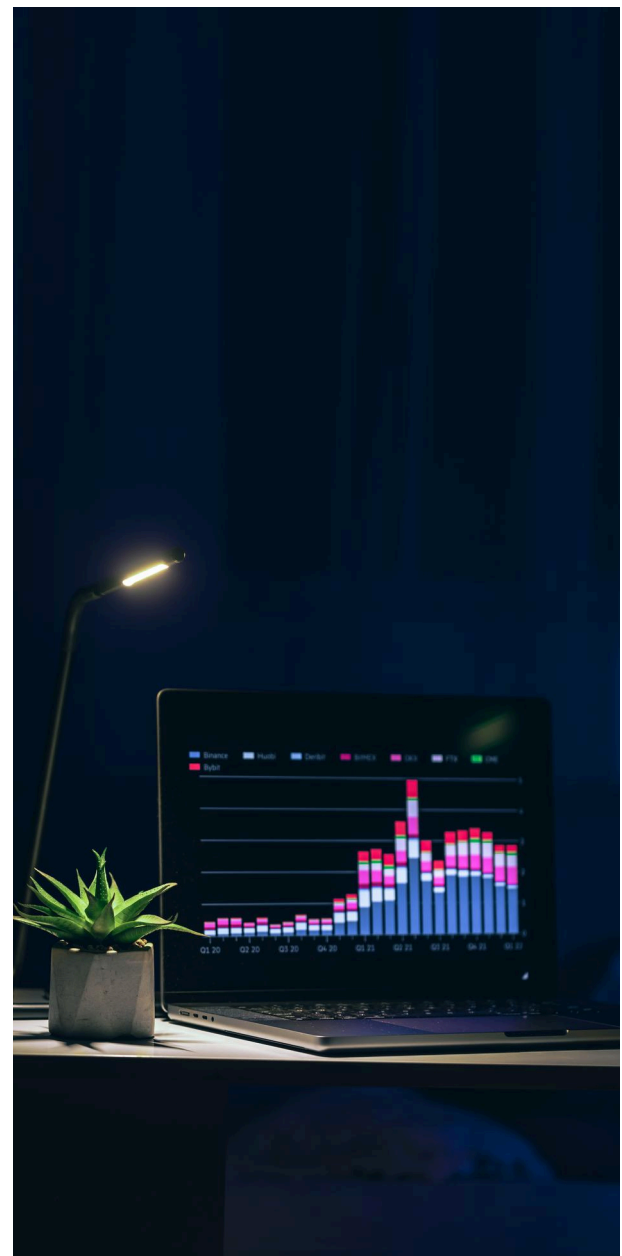
This report is written for policymakers, investors, business leaders, development institutions, researchers, and serious observers of African economic transformation who need a clearer view of why growth is not becoming wealth at the scale it should. It is not a short macroeconomic commentary and it is not a generic optimism or pessimism piece. It is an industry report in the Business360 tradition, designed to examine structure, incentives, capital efficiency, institutional quality, and enterprise outcomes across the African economy.

The scope is continental, but the analysis focuses primarily on broad patterns visible across Sub Saharan Africa and comparable African economies where growth has persisted without sufficient productivity deepening. It draws on 2026 evidence from multilateral institutions, regional economic bodies, and current analytical work on structural transformation, labor productivity, job creation, and innovation led growth. It considers both macro and micro dimensions, moving from national growth rates and per capita income to enterprise structure, labor absorption, capital efficiency, and public investment quality.

The logic of the report follows a clear sequence. It begins by establishing the core problem. Africa is growing, but the transmission from growth to wealth remains weak. It then examines the key trends behind that problem, including flat productivity, low value sectoral expansion, public investment inefficiency, technological lag, and demographic pressure. From there, it analyzes the barriers that prevent stronger wealth creation, including industrial

weakness, debt stress, weak business conditions, fragmented trade systems, and institutional constraints. It then turns to financial and enterprise implications, asking why capital is not producing enough productivity, why returns are often weak or uneven, and what resilience would look like in a more productive economy. Finally, it offers strategic recommendations and case based lessons for governments, firms, investors, and regional actors.

The purpose is not merely to restate that Africa needs more jobs or better growth. It is to explain why that need persists despite years of economic expansion, and to identify what would have to change for the continent’s growth to generate stronger and broader wealth creation over time.



# Methodology

## 2.1 Research objectives

This report is built around one central question. Why is economic growth in Africa not creating enough wealth. That question is broader than a standard growth inquiry and more demanding than a simple review of macroeconomic performance. It requires attention not only to the pace of expansion, but also to the structure of production, the quality of jobs, the productivity of firms, the efficiency of capital deployment, and the ability of economies to convert output gains into durable improvements in income and wealth.

The first objective of the report is to clarify the difference between growth and wealth creation in the African context. Growth can occur without deep improvements in productivity, formal job creation, or enterprise capability. Wealth creation, by contrast, requires that labor, capital, institutions, and infrastructure generate increasingly valuable output over time. The report therefore seeks to distinguish between economic expansion that is numerically visible and economic transformation that is materially felt.

The second objective is to identify the structural sources of Africa's productivity challenge. This includes examining labor productivity, total factor productivity, sectoral composition, informality, public investment efficiency, technological adoption, and enterprise structure. The report asks where output is growing, what kinds of activities are expanding, and whether those activities are capable of supporting rising incomes, stronger firms, and more resilient economic systems.

The third objective is to assess the transmission problem. Even where growth occurs, how does it move, or fail to move, into jobs, wages, reinvestment, and asset formation. This means analyzing the channels through which macroeconomic growth should benefit households, businesses, and states, and identifying the points at which those channels weaken.

The fourth objective is to generate practical implications. The report is intended not only as diagnosis but as guidance for decision makers. It therefore examines what governments, investors, lenders, firms, and regional institutions would need to do differently if Africa is to move from growth that expands output to growth that builds wealth.

## 2.2 Evidence based and source logic

The report uses a layered evidence base rather than relying on a single institution, dataset, or conceptual school. Africa's productivity challenge sits at the intersection of macroeconomics, enterprise development, labor markets, industrial policy, infrastructure, and public finance. No single source captures all of those dimensions adequately. The report therefore combines evidence from multilateral institutions, regional economic bodies, development finance institutions, and current analytical work on structural transformation and productivity.

At the macro level, the report draws on growth forecasts, per capita income trends, debt conditions, fiscal pressures, and investment outlooks produced by institutions that track African economies on a regular basis. These provide the baseline for understanding the pace of expansion and the limits of current recovery. At the structural level, the report uses analysis on labor productivity, total factor productivity, sectoral change, services led transformation, and the role of manufacturing and tradable services in economic upgrading. At the enterprise level, it considers research on firm size, informality, job creation, and the constraints facing private sector growth.

The source logic is comparative and triangulated. Where multiple institutions make similar claims from different vantage points, the report treats the convergence as analytically significant. For example, when international financial institutions, regional economic bodies, and labor market analysts all point to weak job transmission, modest productivity gains, and insufficient structural transformation, the report does not treat those as isolated observations. It treats them as part of a common diagnosis.

At the same time, the report distinguishes between aggregate trends and interpretive claims. Forecast growth rates are used as directional indicators, not as proof of transformation. Productivity measures are treated carefully, especially where cross country comparability may be affected by data quality or the size of the informal economy. Qualitative evidence is used to explain mechanisms and institutional realities that numbers alone cannot fully capture.

The aim is not to produce a narrow

econometric paper. It is to build a serious industry report that combines quantitative grounding with structural interpretation, in the same way a rigorous Business360 report should.

### 2.3 Analytical lens

The report uses a four part analytical lens. Each part is necessary because the productivity challenge is not purely macroeconomic, purely institutional, or purely business related. It is all three, and more.

The first lens is macro transmission. This examines how national output growth translates into per capita income, formal job creation, poverty reduction, and fiscal strength. It asks whether higher GDP is leading to measurable improvements in the economic position of households and the productive capacity of firms. This is critical because headline growth can easily mask weak transmission when population growth is high, informality is widespread, and gains are unevenly distributed.

The second lens is structural transformation. This examines where labor and capital are moving inside African economies and whether those movements are productivity enhancing. It asks whether workers are shifting from lower productivity sectors to higher productivity ones, whether firms are upgrading technologically, and whether economies are diversifying into activities capable of stronger value creation. It also examines the role of services, manufacturing, tradable sectors, and modern infrastructure in that process.

The third lens is capital efficiency. This focuses on whether public and private capital are being converted into productive assets and recurrent gains. It includes public investment efficiency, private sector financing conditions, infrastructure returns, and the relationship between capital deployment and actual output quality. This lens is especially important because Africa's challenge is not only the quantity of investment, but the effectiveness of investment.

The fourth lens is enterprise capability. This examines how firm size, management quality, productivity, technology adoption, and access to markets shape broader economic outcomes. Economies do not create wealth in the abstract. They do so through firms, workers, supply chains, and institutions. If most firms remain

too small, informal, or weakly capitalized to compound productivity gains, then macro growth will struggle to become broad wealth.

Together, these four lenses allow the report to connect national growth rates to enterprise behavior and household outcomes. They also ensure that the analysis remains grounded in mechanisms rather than slogans.

### 2.4 Data integrity and validation approach

The report takes a disciplined approach to data integrity because African economic analysis often suffers from either overconfidence in aggregate figures or excessive skepticism toward all available evidence. A more useful approach lies between those extremes.

First, the report prioritizes recurring institutional datasets and flagship analytical publications that are transparent about scope, assumptions, and limitations. These sources are used to establish macroeconomic direction, labor market pressure, structural transformation patterns, and investment constraints.

Second, the report cross checks headline claims across more than one type of source wherever possible. Growth forecasts, for example, are not interpreted in isolation but compared with commentary on per capita income, jobs, and productivity. Claims about structural transformation are assessed alongside evidence on sectoral employment shifts, manufacturing performance, and the nature of services expansion. Claims about public investment constraints are interpreted in light of both fiscal conditions and efficiency concerns.

Third, the report treats informality as a measurement challenge as well as an economic reality. In many African economies, large shares of labor and enterprise activity sit outside the most neatly recorded segments of the formal economy. This can distort clean comparisons, especially in productivity analysis. Rather than ignoring this, the report incorporates informality as a core explanatory factor in the analysis.

Fourth, numerical figures are used with interpretive caution. Productivity data, job elasticity estimates, and efficiency metrics are valuable, but they are not self sufficient. They become more useful when connected to

institutional and business realities. The report therefore does not present isolated statistics as definitive proof. It uses them as part of a broader explanatory structure.

Finally, the report is designed as a current strategic analysis rather than a long historical database exercise. Its emphasis is on the present shape of Africa's growth challenge and the implications for near to medium term policy and business decisions. That means the validation approach prioritizes timeliness and structural relevance over exhaustive historical detail.

## 2.5 Limits of interpretation

This report is continent wide in theme, but Africa is not a single economy. Differences in income levels, institutional quality, export structures, demography, geography, and state capability mean that productivity challenges do not present identically across all countries. Oil exporters, diversified middle income economies, fragile states, manufacturing aspirants, and tourism dependent economies each face distinct transmission problems. The report therefore emphasizes broad patterns without implying perfect uniformity.

There is also a limit inherent in the concept of wealth creation itself. Wealth can be measured through income, asset accumulation, firm growth, public balance sheet strength, or improvements in capabilities and living standards. No single metric captures all of these dimensions. The report uses wealth creation as an economic and structural concept rather than as a narrow accounting category. That broadness is analytically useful, but it also requires judgment.

Another limitation concerns data quality and timing. Productivity, employment, and firm level indicators are often reported with delays, revisions, or methodological differences across institutions. Informality can obscure the true scale of activity and the true weakness of formal transmission at the same time. The report accounts for this by focusing on converging patterns and structural mechanisms rather than pretending that all data is equally precise.

A further limit lies in causality. Many of the barriers discussed in this report reinforce one another. Weak productivity affects wages and investment. Low investment affects firm

capability. Poor logistics affect competitiveness. Fiscal stress affects infrastructure quality. Because these dynamics are interconnected, it is not always possible to isolate one clean causal chain. The report therefore emphasizes interaction rather than oversimplified single cause explanations.

These limitations do not weaken the relevance of the analysis. They simply define its scope. The purpose of the report is not to produce a final econometric verdict on every African economy. It is to provide a high quality strategic explanation of why growth is not creating enough wealth and what would need to change for that pattern to improve.



# Executive Summary

### 3.1 Core findings

Africa's growth story in 2026 is one of resilience on the surface and insufficiency underneath. Output is expanding in many countries, and regional forecasts still point to positive growth over the next few years. Yet the continent's economies are not generating enough wealth from that growth. Per capita income gains remain modest, wage employment is not expanding at the pace required, productivity improvements are limited, and the structural transformation needed to shift workers and firms into higher value activities is progressing too slowly.

The central finding of this report is that Africa's challenge is less about the presence of growth and more about the quality and transmission of that growth. Much of the recent expansion has been driven by factor accumulation, commodity cycles, consumption, and public spending rather than sustained productivity gains. Labor productivity across Sub Saharan Africa has been nearly flat over long periods, and total factor productivity has contributed only weakly to growth. As a result, outputs rise without generating the scale of jobs, wages, and competitive firms needed to build durable wealth.

Current evidence shows that this pattern is reinforced by shallow structural transformation. Workers have moved out of agriculture in many countries, but often into low productivity services rather than into manufacturing or advanced tradable services. Economies remain heavily reliant on raw commodities and lower value activities, and investment in higher productivity sectors is constrained by infrastructure gaps, policy uncertainty, and limited firm capability.

In practical terms, the report concludes that Africa's productivity challenge is the main reason why economic growth is not creating enough wealth. Without deeper improvements in how labor and capital are used, and without stronger transmission from macro expansion into enterprise performance and household incomes, growth will continue to fall short of the continent's needs.

### 3.2 Why growth without productivity cannot create broad wealth

Growth without productivity is like running faster without learning to carry more. It may increase the total amount of activity, but it does not increase the value generated per unit of effort. When economies grow mainly by adding workers, increasing spending, or benefiting from temporary external conditions, wealth creation remains constrained. Jobs may be numerous but low quality. Firms may be busy but fragile. Public investment may be large but inefficient.

In Africa's case, several mechanisms explain why growth without productivity fails to create broad wealth. First, job creation is heavily skewed toward informal and low value activities. Studies on job creation pathways in Africa show that most new jobs are in small, informal enterprises that have limited capacity to raise productivity or wages. Second, the elasticity of wage employment with respect to growth is low. Each percentage point of GDP increase generates only a narrow increase in formal jobs, meaning that many workers remain outside the segments of the economy where productivity gains and social protection are strongest.

Third, capital is not being used efficiently enough. African Economic Outlook 2026 research highlights significant efficiency gaps in public investment, with a large share of spending not translating into proportionate improvements in infrastructure or productive capacity. Private investment is often hampered by high financing costs, weak business environments, and limited access to markets, which means that even when capital is available, it may not reach the sectors and firms most capable of generating productivity gains.

Fourth, structural transformation is incomplete. Growth in services has been strong, particularly in urban areas, but much of that growth is concentrated in non tradable, low productivity segments such as petty trade and basic local services. Manufacturing and higher productivity services remain underdeveloped, limiting the economy's ability to generate value that can be scaled and exported.

Taken together, these factors mean that growth often circulates within a structure that is not designed to create wealth broadly. Without deliberate measures to raise productivity and deepen structural transformation, additional output simply stretches existing systems rather than upgrading them.

### 3.3 Main risks

The report identifies several main risks that flow from Africa's productivity challenge.

The first is the risk of stagnating living standards. If growth remains moderate and productivity weak, per capita income gains will be small. Large segments of the population may see little improvement in their economic position, even as economies expand. Youth employment analysis already warns that current trajectories are not sufficient to absorb the growing labor force into productive, well paid work.

The second is the risk of fiscal and debt stress. Governments facing demands for infrastructure, social services, and stabilization may rely heavily on public investment and borrowing. If that investment is inefficient, returns will be too low to support debt service and further development. African Economic Outlook 2026 emphasises the need for more disciplined public finance and better use of scarce resources to avoid deepening vulnerabilities.

The third is the risk of structural lock in. Economies that stay concentrated in low productivity, low value sectors may find it increasingly difficult to shift into higher productivity activities later on. Skills, firm capabilities, infrastructure, and institutional arrangements can become aligned with the existing structure, making transformation more complex and costly.

The fourth is the risk of social and political strain. When growth does not create enough good jobs, frustration can build. Inequality may widen as benefits accrue mainly to those with access to capital, formal employment, or high value sectors. Social pressure can rise, and confidence in economic policy may erode.

The fifth is the risk of missed technological opportunity. Frontier technologies, data, and digital tools offer pathways to productivity gains in manufacturing, services, agriculture, and public administration. If Africa fails to harness these effectively, it may fall further behind regions that integrate technology into production and governance more quickly.

These risks are not theoretical. They are already visible in varying degrees across different African economies. Without a deliberate shift toward productivity-centred policies and

business strategies, they will continue to shape the continent's economic trajectory.

### 3.4 Priority actions for business, investors, and policymakers

In light of these findings, the report sets out priority actions for three main groups: business leaders, investors and lenders, and policymakers and regional institutions.

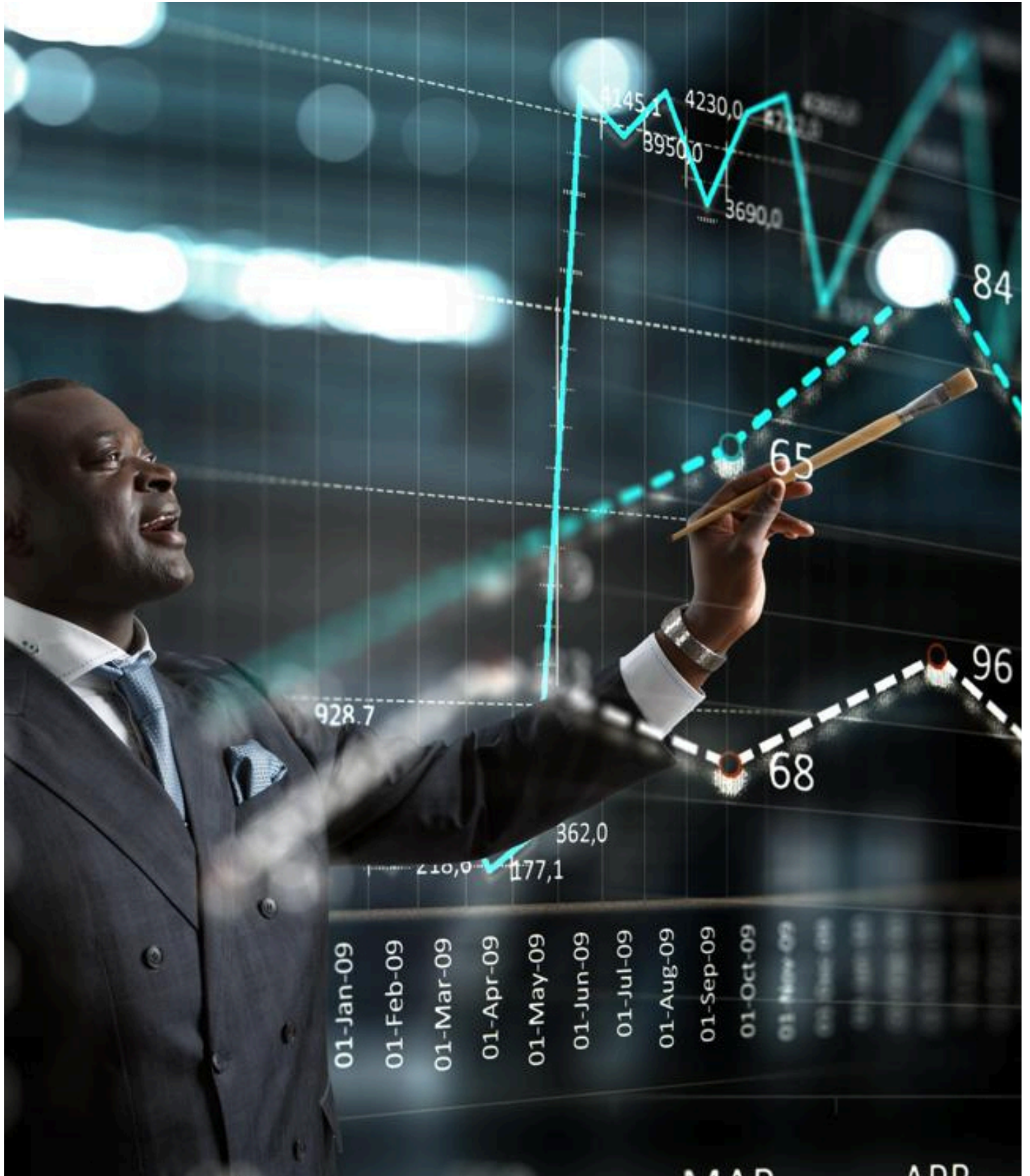
For businesses, the priority is to treat productivity as a central strategic goal rather than as a secondary outcome. Firms should invest in capabilities that improve output quality, efficiency, and scalability. This includes better management practices, workforce training, technology adoption, supply chain optimisation, and disciplined capital deployment. Enterprises need to move beyond survival and into compounding productivity, because wealth creation at the firm level is essential for wealth creation at the economy level.

For investors and lenders, the priority is to allocate capital toward initiatives that demonstrably improve productivity and structural transformation rather than merely support consumption or short-term expansion. This means supporting medium-sized and large enterprises that can drive job creation, backing infrastructure and logistics projects that reduce cost and enhance competitiveness, and financing innovation in sectors capable of higher value creation. Investors should also insist on clearer metrics for productivity gains and capital efficiency when evaluating opportunities.

For policymakers and regional institutions, the priority is to design and implement a productivity-led growth model. This involves improving the quality of public investment, strengthening institutions that support structural transformation, reforming regulations that hold back private sector development, and investing in human capital and innovation systems. It also requires a more integrated approach to industrial, trade, infrastructure, and education policy, so that efforts to raise productivity are mutually reinforcing.

Through the rest of the report, these priority actions are developed in detail. The chapters on key trends, challenges, financials, strategy, and

case studies show how a productivity-centred view of Africa's growth can guide more effective decisions. The core message remains consistent. For Africa's economies, the question is no longer only how to grow. It is how to make growth create wealth



# Introduction

#### 4.1 Africa's growth story and its limits

Over the past two decades, Africa has built a reputation as one of the world's fastest-growing regions. Many economies have recorded multiple years of positive growth, and regional outlooks for 2025 and 2026 still point to expansion supported by private consumption, improved trade performance, and gradual recovery from global shocks. Flagship reports from multilateral institutions describe Africa's growth as resilient, note stabilization gains in several countries, and project that regional output will continue to rise in the near term.

Yet those same assessments highlight a central limitation. The pace and structure of growth remain too weak to deliver meaningful income convergence or broad prosperity. Output expansion has not translated into strong per capita income gains, sufficient job creation, or deep productivity improvements. Growth rates that appear respectable in aggregate look less impressive when spread across rapidly growing populations, large informal sectors, and economies still heavily reliant on low value activities.

Africa's growth story is therefore best understood as a mixed one. The continent has avoided prolonged decline and has managed to recover from successive external and internal shocks. But the quality of growth, and its ability to generate wealth, is not yet where it needs to be. This report takes that limitation as its starting point.

#### 4.2 The difference between output growth and wealth creation

Output growth and wealth creation are closely related but not identical. Output growth measures how much an economy produces in a given period. Wealth creation asks what that production does for the economic position of households, firms, and states over time. An economy can grow without significantly increasing the assets, incomes, and capabilities of its participants.

In practical terms, output growth can be driven by more workers entering low productivity activities, by higher public spending, by favourable commodity prices, or by temporary external conditions. Wealth creation, by contrast, requires that each unit of labour and

capital generate more value than before. It involves building assets that produce returns, firms that become more competitive, jobs that pay better wages, and institutions that manage resources more effectively.

Africa's recent experience shows that output growth has frequently outpaced wealth creation. Reports from the World Bank and other institutions note that labour productivity growth has been modest, that total factor productivity gains are limited, and that many African economies continue to rely heavily on raw commodities and lower value services for their expansion. This means that even when output grows, the ability of economies to accumulate and distribute wealth remains constrained.

The distinction matters because policy and business decisions that focus only on raising GDP may miss the mechanisms that actually create wealth. This report therefore emphasises productivity, structural transformation, and transmission channels rather than treating output growth as sufficient in itself.

#### 4.3 Why productivity matters more than headline GDP

Productivity matters more than headline GDP because it determines how much value an economy can generate from its available resources. It is a measure of efficiency, capability, and learning. When productivity is high and rising, economies can create more output and income without needing proportionate increases in inputs. When productivity is low or stagnant, growth requires ever higher inputs and tends to produce weaker improvements in living standards.

Evidence from recent African economic analysis is clear on this point. World Bank work on structural transformation and productivity shows that while many African countries have experienced growth, the contribution of productivity has been modest compared with other regions. IMF and regional economic outlooks echo the same concern, warning that growth in Sub Saharan Africa remains too weak in productivity terms to support robust income convergence.

Productivity also matters because it shapes competitiveness. Economies with higher productivity can produce goods and services at

lower cost and higher quality, making them more capable of exporting and attracting investment. They can sustain better wages, longer-term employment, and stronger firm balance sheets. Economies with weak productivity struggle to compete, especially as global conditions tighten and capital becomes more selective.

For Africa's economies, productivity is therefore the hinge on which the growth story turns. Without stronger productivity gains, growth will continue to be shallow, vulnerable, and less able to create wealth. With stronger productivity gains, even moderate growth could generate more substantial improvements in jobs, incomes, and enterprise resilience.

#### 4.4 The gap between growth, jobs, and living standards

One of the most visible expressions of Africa's productivity challenge is the gap between growth, jobs, and living standards. Economic activity increases, but the number and quality of jobs do not keep pace. Many young people struggle to find stable employment, even as economies expand. Informal work remains dominant in many countries, and underemployment is widespread.

Research on job creation in Africa highlights that current growth patterns are not translating into sufficient employment, especially for youth. Analyses of youth employment outlooks and labour market conditions show that a large share of new entrants into the labour force end up in informal, low productivity activities rather than in formal, higher productivity jobs. At the same time, wage employment tends to grow slowly relative to output, indicating that much of the expansion is occurring in segments that do not generate strong formal job creation.

Living standards reflect this gap. When most workers are in low productivity roles, income growth is limited. Households may experience more cash flow or activity, but asset accumulation, savings, and resilience remain weak. The pressure on public services persists, and inequality can widen as those connected to higher value sectors or formal employment capture a larger share of gains.

This report treats the growth–jobs–living standards gap as a central part of Africa's productivity challenge. It does not assume that

growth will eventually trickle down if left alone. It asks instead what needs to change in the structure of economies and the behaviour of firms for growth to generate more and better jobs, and for those jobs to support stronger living standards.

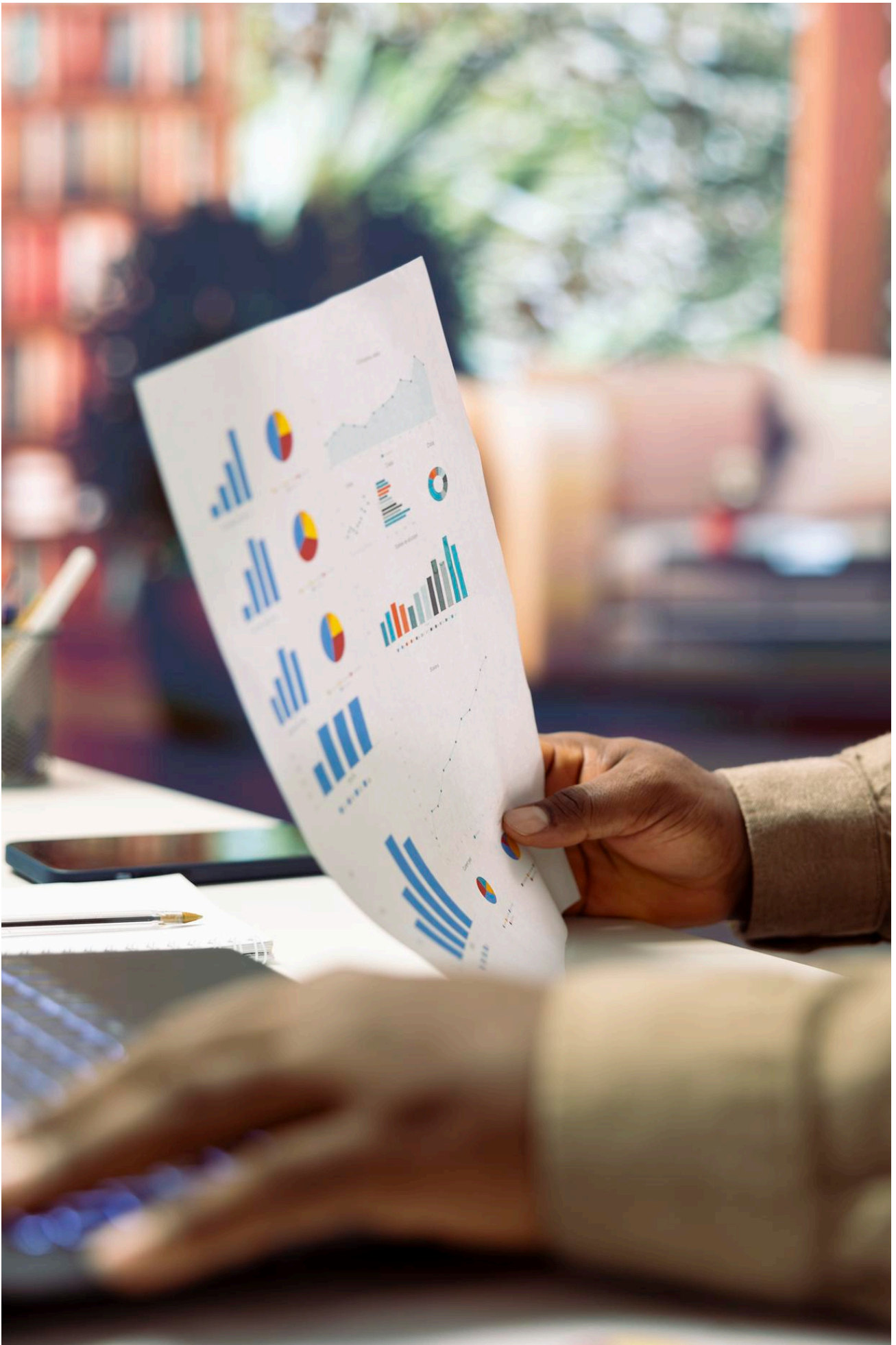
#### 4.5 From macro growth to enterprise and household outcomes

Finally, the introduction sets out the shift in perspective that runs through the rest of the report. Africa's productivity challenge cannot be understood solely by looking at national accounts or aggregate indicators. It must be traced from macro growth into the outcomes experienced by enterprises and households.

For enterprises, this means examining firm size distribution, management quality, access to finance, technology adoption, export participation, and the ability to reinvest. Many African economies are dominated by small, informal firms that struggle to achieve productivity gains and scale. Medium sized and large enterprises, which are typically the main drivers of productivity and formal job creation, remain too few or face significant constraints.

For households, this means examining employment status, wage levels, income volatility, asset accumulation, and access to services. It involves recognising that growth which does not raise productivity or support better jobs will do little to change everyday economic realities.

The chapters that follow use this enterprise and household perspective to interpret Africa's growth and productivity story. They move from macro trends to structural patterns, from capital deployment to firm behaviour, and from policy frameworks to lived outcomes. The goal is to provide a coherent explanation of why economic growth is not creating enough wealth, and to identify the strategic shifts required to change that trajectory.,



# Key Trends and Developments in African Productivity Challenge

## 5.1 Growth recovery without deep transformation

Africa's recent growth recovery has been described as resilient, but it is a resilience built more on stabilisation and rebound than on deep transformation. After a sequence of shocks including the global financial crisis, commodity price swings, the pandemic, and tightening global financial conditions, many African economies have managed to restore positive growth. Regional outlooks for 2025 and 2026 project output expansion in the three to four percent range, supported by improved macro management, firmer private consumption, and gradual investment.

The mechanics of this recovery matter. Much of the growth now visible in forecasts reflects a return to trend after contraction rather than a decisive shift in the structure of production. Consumption is recovering as inflation moderates in some markets and confidence stabilises. Public investment continues where fiscal space allows. Trade volumes are improving as global demand and regional integration efforts regain momentum. But the underlying composition of activity remains largely similar to the pre-shock period.

Economic Commission for Africa and other regional bodies have made this point explicit. They warn that Africa's current growth, while welcome, is not yet accompanied by the level of structural transformation needed to turn expansion into broad prosperity. In many countries, the sectors driving growth are still those that were dominant before: primary commodities, basic services, and lower value segments of trade and construction. Manufacturing and advanced tradable services remain comparatively small.

This creates a pattern in which economies can post respectable growth numbers without substantially changing how they use labour and capital. If growth continues to rely primarily on recovering demand, favourable terms of trade, and incremental investment in familiar sectors, Africa will find itself running harder on the same track rather than moving onto a more productive one. That is the essence of recovery without deep transformation.

From a productivity perspective, this trend is critical because it explains why output can rise while wealth creation remains limited. Recovery built on the existing structure can restore

activity, but it cannot by itself build the capabilities, sectoral diversity, and firm strength required for higher productivity. Without a shift in what is growing and how it is growing, the transmission from growth to wealth will remain weak.

## 5.2 Flat labour productivity and weak total factor productivity

Productivity is the lens through which growth and wealth must ultimately be judged. Across Sub Saharan Africa, recent analysis shows that labor productivity has been nearly flat over long periods, especially when compared with other developing regions. Output has grown, but the amount of value created per worker has not risen fast enough to support broad increases in incomes or to close gaps with more advanced economies.

Total factor productivity, which measures the efficiency with which labour, capital, and technology are combined, tells a similar story. Studies taking stock of Africa's economic transformation find that productivity gains have contributed only modestly to growth, with much of expansion driven by more inputs rather than better use of those inputs. In practical terms, this means that economies are adding workers, machines, and spending, but not achieving proportionate improvements in efficiency or competitiveness.

This trend has direct consequences. When labour productivity is flat, wages cannot rise rapidly without compressing margins. Firms remain constrained in their ability to pay more, invest more, or expand. Workers must rely on additional hours or multiple jobs to increase income. Governments find tax bases growing more slowly than they might expect from headline growth.

Moreover, weak productivity reduces the impact of structural transformation. Moving workers from one sector to another will only generate significant gains if the receiving sector is meaningfully more productive. If labour shifts from low productivity agriculture into low productivity services, the aggregate effect on productivity can be limited or even negative. That is precisely the risk in many African economies where workers leave rural areas but enter informal urban activities that do not offer strong productivity upgrades.

The persistence of flat labour productivity and weak total factor productivity therefore sits at the heart of Africa's growth–wealth disconnect. It explains why growth can be sustained numerically while living standards and enterprise strength improve only slowly. Without a decisive change in productivity dynamics, further expansion in output will struggle to translate into proportionate increases in wealth

### **5.3 The dominance of low value and informal activity**

Africa's economic structure is characterised by a high share of low value and informal activity. Large segments of the labour force work in agriculture, small retail, petty trade, basic transport, personal services, and home-based enterprises. These segments are vital to survival and local economies, but they typically have low productivity, limited scale, and weak capacity to support sustained wage growth.

Evidence from structural transformation studies in countries such as Uganda and across East Africa shows that employment has indeed moved out of agriculture, but often into non-tradable services that are themselves low productivity. Workers who leave farming frequently become small traders, informal transport operators, or providers of simple urban services. These occupations can raise cash incomes compared with subsistence agriculture, yet they do not necessarily involve large productivity gains at the economy level.

Informality intensifies the challenge. Most firms in many African economies are micro enterprises employing only a few people, often family members, with limited capital, weak record keeping, and no access to formal finance. They are inherently constrained in their ability to invest in technology, training, or expansion. Their margins are thin, their risk exposure high, and their ability to pay taxes or build reserves limited.

This dominance of low value and informal activity means that the average enterprise is poorly positioned to drive productivity gains. When most firms are small and informal, the economy has fewer engines capable of compounding efficiency and wages. Medium sized and large firms, which tend to be the primary drivers of productivity and formal job

creation, remain under-represented.

The implications for wealth creation are direct. Output can increase as more people engage in economic activity, but if most of that activity is confined to low value segments, the aggregate ability of the economy to generate wealth remains constrained. Activity spreads, but it does not necessarily deepen. Growth stretches the existing structure instead of lifting it.

This trend is not easily reversed. Moving from a landscape dominated by low-value informal enterprises to one with a dense layer of productive, formal firms requires long-term changes in education, finance, infrastructure, regulation, and market development. But acknowledging the dominance of low-value activity is a necessary step. It clarifies where productivity efforts must focus and why simple growth in the number of firms or jobs is not enough.

### **5.4 Public investment inefficiency and infrastructure bottlenecks**

Africa's public investment needs are large and well known. The continent requires significant spending on roads, rail, ports, airports, energy systems, water infrastructure, digital connectivity, health, and education. These investments are essential for productivity because they shape transport costs, energy reliability, access to markets, and the quality of human capital.

However, African Economic Outlook 2026 and related analyses highlight a worrying efficiency gap. They estimate that a substantial share of public investment does not deliver the full productive impact it should. Projects are sometimes selected without rigorous cost–benefit analysis, implemented with delays and cost overruns, and maintained poorly after completion. In some cases, investments are politically driven rather than economically grounded, leading to infrastructure that is underutilised or misaligned with the needs of firms and households.

At the same time, infrastructure bottlenecks remain acute. Logistics costs in many African economies are among the highest in the world as a share of product value. Power outages and unreliable supply increase costs for manufacturers and service providers, discourage investment, and limit technology use. Transport

networks often suffer from weak maintenance, congestion, and fragmented planning. Digital connectivity has improved but remains uneven, with rural and low income areas frequently underserved.

These conditions impose a productivity tax on the private sector. Firms must allocate resources to coping mechanisms such as backup generators, additional inventory, complex routing, and manual processes. They face longer lead times, higher risk, and lower predictability. This reduces the return on private investment and makes productivity improvements more difficult to achieve.

Public investment inefficiency therefore plays a double role in Africa's productivity challenge. On one side, it wastes scarce fiscal space that could have supported transformative infrastructure. On the other, it fails to relieve bottlenecks that constrain firms and workers. The result is that capital flows into projects but does not generate the level of productivity gains required to convert growth into wealth.

### **5.5 Slow technology diffusion and weak innovation systems**

Africa's discourse on technology and innovation has advanced rapidly in recent years. Policymakers, business leaders, and regional institutions recognize that data, digital tools, and frontier technologies can help leapfrog constraints and improve productivity across sectors. Economic Report on Africa 2026 focuses explicitly on growth through innovation and technology, and regional summits now routinely highlight the need to harness digital transformation for structural change.

Yet diffusion and integration remain slower than the rhetoric suggests. Technology adoption is uneven across and within countries. Urban elites and select sectors, such as fintech, logistics, and segments of professional services, have embraced advanced tools. Many small and medium enterprises, particularly in manufacturing, agriculture, and basic services, still rely on manual processes, limited data, and low technology intensity. Public institutions have introduced e-government platforms, digital land registries, and electronic payment systems in some cases, but coverage, reliability, and user experience vary widely.

Innovation systems are also thin. In many

African countries, links between universities, research institutes, and industry are weak. R&D spending is low. Intellectual property regimes may exist on paper but not function effectively in practice. Entrepreneurial ecosystems are growing but often concentrated in a few cities, leaving much of the continent without strong support structures for innovation. Access to risk capital for technology ventures outside a handful of hotspots remains limited.

Slow technology diffusion and weak innovation systems limit productivity by constraining the adoption of more efficient methods, tools, and processes. Firms struggle to move from low technology to medium and high technology production. Public institutions find it hard to use data and digital platforms to improve service delivery, target policies, and manage resources. Workers lack opportunities to engage with technologies that could raise their productivity and wages.

This trend is especially concerning because global competition is increasingly driven by technology-enabled productivity. Regions that harness digital systems, automation, data analytics, and advanced manufacturing will widen the gap with those that do not. If Africa's technology diffusion remains slow, the continent risks falling further behind in productivity terms even if growth continues.

### **5.6 Demographic pressure and the urgency of productive job creation**

Africa's demographic profile is often described as an opportunity, but it is an opportunity that can become a pressure point if productivity does not rise. The continent's population is young and growing quickly. Youth employment outlooks for 2026 show that the number of young people entering the labour market in the coming years is enormous, while current patterns of job creation are insufficient to absorb them into productive, well paying roles.

This demographic reality magnifies the productivity challenge. In economies with slow productivity growth, adding more workers without upgrading sectors and firms tends to push people into low productivity occupations. Informal and precarious employment expands. Underemployment becomes entrenched. Wages remain low. Social frustration grows.

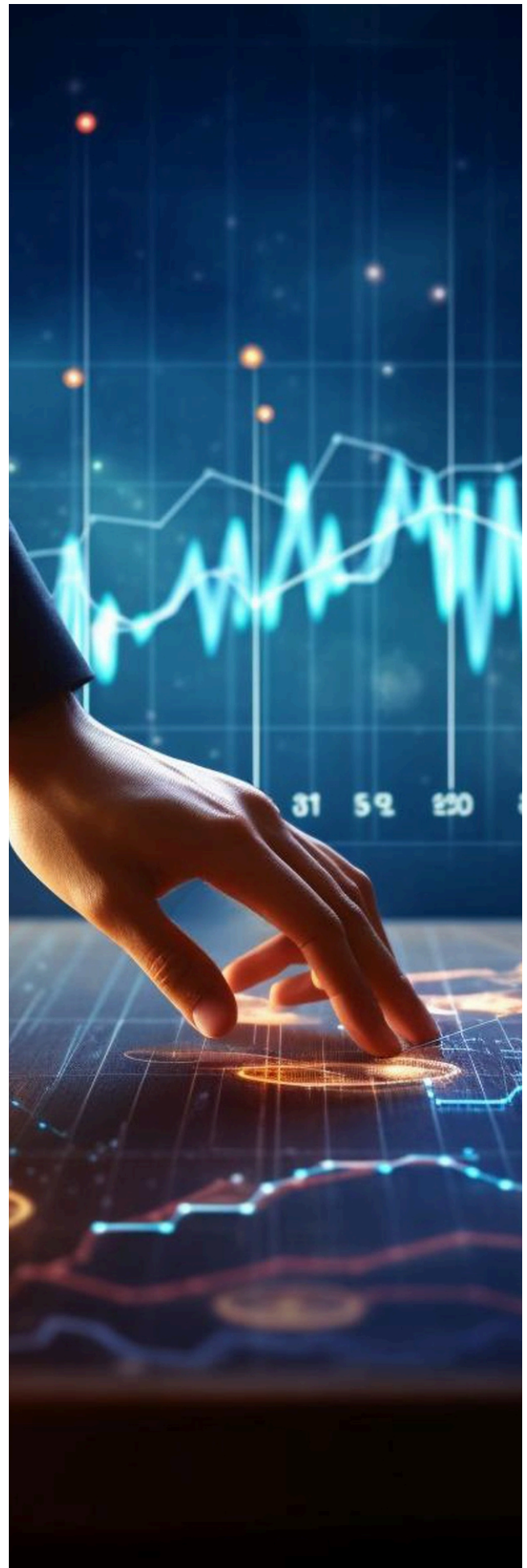
Studies on pathways to job creation in Africa

argue that medium sized and large enterprises are the main engines of productive employment and that current growth patterns focused on small, informal firms cannot deliver the required scale of good jobs. Without significant expansion in enterprise capability and sectoral depth, demographic growth will translate more into crowded low productivity activity than into broad wealth creation.

Demographic pressure also interacts with other trends described in this chapter. Efficiency gaps in public investment limit the ability of governments to build the infrastructure and human capital needed for productive employment. Slow technology diffusion reduces the opportunities for young people to engage with transformative industries. The dominance of low value activity constrains the pathways available to new entrants. Flat productivity makes it harder for wages to rise even when jobs exist.

This convergence of trends underscores why Africa's productivity challenge cannot be treated as a technical issue alone. It is a developmental and social issue. The difference between growth that creates wealth and growth that does not will be felt in the lives of millions of young Africans.

Taken together, the key trends show a continent where growth is recovering but not transforming sufficiently, where productivity remains weak, where low value and informal activity dominate, where public investment and infrastructure are not delivering full returns, where technology and innovation are underutilised, and where demographics raise the stakes. The next chapter turns from trends to barriers, examining why these patterns persist and what stands in the way of stronger wealth creation.



# Challenges and Barriers to Wealth Creation

## 6.1 Weak industrial depth and limited movement into high productivity sectors

One of the central barriers to wealth creation in Africa is the continent's limited industrial depth. Many African economies remain concentrated in primary commodities and low value services, with only thin layers of manufacturing and advanced tradable services. Industrial activity exists, but often in narrow enclaves rather than as broad, integrated systems that pull in large numbers of workers and firms.

Structural transformation analysis shows that while labour has moved out of agriculture in many countries, it has not moved strongly enough into sectors that offer sustained productivity gains. Instead, workers often transition into non tradable services such as petty trade, simple transport, and basic urban services. These activities can raise cash incomes compared with subsistence farming, but they do not generate the type of productivity growth associated with larger industrial and tradable service sectors.

Without deeper industrialisation, Africa struggles to build the kinds of firms and supply chains that can absorb capital, train workers, adopt technology, and compete globally. Manufacturing plants, logistics platforms, industrial services, and related ecosystems are the settings in which productivity tends to rise most rapidly. If these remain small, fragmented, or absent, the economy lacks the engines that transform growth into wealth.

This industrial weakness also limits the continent's ability to climb up value chains. Raw commodities are exported, but processing, finishing, and complex services around those commodities often take place elsewhere. Domestic firms miss out on higher margins and on learning opportunities that come from participating more fully in global production systems. Over time, this keeps Africa locked into roles that generate less wealth for the same natural resources and labour.

## 6.2 High debt service and limited fiscal space

A second barrier lies in public finance. Many African countries entered the mid-2020s with elevated debt levels and constrained fiscal space. Successive shocks, including pandemic response and commodity swings, required significant spending and borrowing. As a result,

governments now face higher debt service obligations and limited room for new investment or countercyclical policy.

African Economic Outlook and regional economic updates warn that debt service is absorbing a large share of public revenues in several countries, leaving less fiscal capacity for infrastructure, human capital, and institutional strengthening. At the same time, pressure to maintain social spending and stabilisation measures remains. This combination constrains the ability of states to support productivity-enhancing investments at the scale required.

Limited fiscal space makes public investment choices more consequential. When resources are tight, every project must deliver strong returns. Yet, as noted in earlier chapters, public investment efficiency is often low, and alignment between projects and productive needs can be weak. If scarce capital is deployed into infrastructure or programmes that do not substantially raise productivity, the opportunity cost is high. The economy loses both the alternative use of funds and the potential productivity gains that better investments might have provided.

Debt stress can also create macro uncertainty that discourages private investment. Concerns about future taxation, inflation, or austerity measures may cause firms and investors to delay or scale back plans. In such environments, even good projects may struggle to obtain financing. This further limits the pace at which productivity-enhancing assets and enterprises can be built.

## 6.3 Low private investment and difficult business conditions

Private investment is essential for productivity and wealth creation, but in many African economies it remains weaker than needed. While headline flows into sectors such as fintech, logistics, and selected industries have been significant, broad based investment in productive capacity, especially among small and medium enterprises, is constrained by difficult business conditions.

Businesses face a range of obstacles. Regulatory frameworks can be complex and inconsistent, creating uncertainty about rules and enforcement. Licensing and approvals may be

slow or opaque. Property rights may be unclear in some contexts, especially where land administration is weak or legal pluralism complicates transactions. Access to finance is often limited, with high interest rates, stringent collateral requirements, and underdeveloped capital markets.

Infrastructure weaknesses add to the burden. Unreliable power, high logistics costs, and limited digital connectivity raise operating expenses and reduce competitiveness. Firms must allocate resources to coping with these constraints rather than to investing in productivity improvements.

These conditions discourage investment in higher productivity sectors that require longer horizons and larger commitments. Entrepreneurs may prefer to operate in low-capital, quick-turnover activities, even if margins are thin, because the risk and complexity of more ambitious projects are daunting. Larger firms and investors may direct capital to markets outside Africa or to segments with more predictable returns.

The result is a structural underinvestment in productive capacity. Economies rely on existing assets and low-value activities rather than building new platforms for productivity. This underinvestment becomes self-reinforcing. Weak productivity makes returns uncertain, which discourages investment, which then limits future productivity gains.

#### **6.4 Skills gaps, weak firm capability, and low management quality**

Productivity depends not only on capital and infrastructure, but also on people and organisations. Skills gaps and weak firm capability are therefore major barriers to wealth creation in Africa.

On the labour side, many workers lack access to high-quality education and training that would prepare them for modern manufacturing, advanced services, and technology-intensive roles. Technical and vocational education systems are often underfunded or poorly aligned with industry needs. As a result, firms struggle to find workers with the right mix of foundational skills, technical knowledge, and soft skills such as problem solving and teamwork.

On the firm side, management quality varies widely. Research on structural transformation and job creation highlights that medium sized and large enterprises with strong management practices are central to productivity gains and good jobs. In many African economies, however, management capacity is uneven. Some firms are well run, but many operate with limited planning, weak data use, informal governance, and reactive decision making.

These capability gaps limit the ability of firms to adopt technology, improve processes, and scale operations. Even where capital and infrastructure are available, firms may not have the organisational strength to use them effectively. Poor management can lead to high wastage, low quality, and missed opportunities for efficiency.

Skills and capability constraints also hinder innovation. When workers and managers are already stretched by basic operational demands, they have little bandwidth to experiment, learn, or engage with new methods. This slows diffusion of productivity-enhancing practices and keeps firms locked into low-value routines.

#### **6.5 Trade fragmentation and logistics costs**

Trade and logistics conditions are another barrier to productivity and wealth creation. African economies are part of global and regional trade networks, but their ability to benefit fully from these networks is limited by fragmentation and high costs.

Transport routes can be complicated, with multiple border crossings, duplicative procedures, and limited coordination between customs, port authorities, and logistics providers. Non-tariff barriers, such as standards misalignment, licensing requirements, and administrative delays, add friction to trade. Even within regional blocs, implementation of agreements can be uneven.

Logistics infrastructure is often underdeveloped or poorly maintained. Roads, railways, ports, and warehousing facilities may not offer the reliability and capacity needed for efficient movement of goods. Digital tracking and coordination tools are underused. As a result, logistics costs represent a high share of product value, especially for manufactured goods and perishable items.

These conditions raise the effective cost of participating in regional and global value chains. Firms that might otherwise export or import intermediate goods find the process expensive and risky. Domestic markets remain more attractive, but often limited in size and depth. This reduces incentives to invest in higher productivity, export-oriented activities.

Trade fragmentation and logistics costs therefore act as a brake on structural transformation. They prevent African economies from fully exploiting comparative advantages and from integrating into production systems that could help drive productivity and wealth creation.

## 6.6 Governance, execution, and institutional weakness

Governance and institutions form the environment in which productivity efforts either succeed or stall. Weak governance and institutional capacity are thus significant barriers to wealth creation in Africa.

Policy intentions are often ambitious. Governments announce industrial policies, innovation strategies, infrastructure master plans, and job creation programmes. Regional bodies promote integration, digital transformation, and shared development agendas. Yet execution frequently falls short of design. Plans may be underfunded, poorly coordinated, or inconsistently implemented.

Institutional weakness shows up in several ways. Regulatory agencies may lack capacity to enforce rules fairly and efficiently. Land administration systems may be incomplete or contested, complicating investment. Tax and revenue authorities may struggle to collect and manage resources effectively. Public sector management may suffer from fragmented accountability, limited performance incentives, and vulnerability to corruption.

These weaknesses erode confidence. Firms, investors, and citizens may doubt that policies will be carried out, that contracts will be honoured, or that disputes will be resolved fairly. This uncertainty discourages long-term investment and complicates efforts to build productivity-enhancing systems.

Governance challenges also affect innovation and experimentation. When institutional

frameworks are rigid or politicised, it becomes harder to test new approaches, learn from failures, and adjust. Policies may remain static even as conditions change. This slows the evolution of systems that support productivity, such as education, finance, and industrial ecosystems.

## 6.7 Why these barriers reinforce each other

The barriers described in this chapter do not operate in isolation. They reinforce one another in ways that make Africa's productivity challenge more difficult to address.

Weak industrial depth limits the number of firms capable of absorbing capital and talent into higher productivity activities. High debt service and limited fiscal space constrain the ability of governments to invest in infrastructure, human capital, and institutional reform. Low private investment reflects and amplifies difficult business conditions, leaving economies undercapitalised. Skills gaps and weak firm capability make it harder to use existing infrastructure and capital efficiently. Trade fragmentation and logistics costs reduce the returns to productivity efforts by raising operating expenses and limiting access to markets. Governance and institutional weaknesses slow reform and discourage experimentation.

Together, these factors create a system in which growth can occur but struggles to transform. A government may invest in roads, but if firms lack skills and capital, they cannot fully exploit the new connectivity. A firm may adopt some technology, but if logistics costs are high and trade systems fragmented, competitive gains are limited. A labour force may expand, but if industrial depth remains shallow and public investment constrained, most new workers will end up in low productivity roles.

Recognising how these barriers interact is essential. It explains why isolated interventions often disappoint and why productivity and wealth creation require coordinated improvements across multiple fronts. The report's later chapters, on financials and strategic recommendations, build on this understanding. They argue that Africa's path to turning growth into wealth will depend on addressing these barriers in combination, rather than treating any single one as the sole solution.



# Financials, Capital Efficiency, and Enterprise Resilience

## 7.1 Why capital is not converting into enough productive capacity

Capital is flowing into African economies from domestic savings, public budgets, development finance, and private investors. Yet the conversion of that capital into productive capacity remains weaker than it should be. This is one of the core financial expressions of Africa's productivity challenge.

On the public side, investment in infrastructure, social sectors, and programmes is often constrained by fiscal space and undermined by efficiency gaps. Governments may allocate significant resources to roads, energy, water systems, schools, and hospitals, but the quality, utilisation, and maintenance of these assets do not always match the expenditure. Projects can be delayed, cost overruns common, and completed infrastructure underused or poorly integrated into economic activity. When public investment does not translate into reliable, high-quality infrastructure and services, its capacity to support productivity and wealth creation is reduced.

On the private side, capital deployment frequently favours shorter-term, lower-risk activities rather than deeper investments in productive capacity. High financing costs, regulatory uncertainty, infrastructure bottlenecks, and weak demand for advanced products encourage firms and investors to concentrate on trade, basic services, and consumer segments that offer quicker turnover. More ambitious projects in manufacturing, complex services, and technology-intensive fields face longer horizons and higher risk.

In both spheres, the result is that capital works hard but not always smart. It is invested, but too much of it goes into assets and activities that do not significantly raise productivity or create durable value. This weak conversion is visible in the gap between aggregate investment ratios and the pace of productivity improvement. Without improved capital efficiency, additional financing will continue to stretch existing structures rather than transform them.

## 7.2 Public investment efficiency and wasted capital

Public investment efficiency is a decisive factor in whether growth becomes wealth. When governments invest in infrastructure and systems that reduce costs, connect markets, and improve human capital, they lay the foundations for productivity gains across the economy. When public investment is poorly chosen or executed, scarce resources are wasted, and opportunities for transformation are lost.

African assessments of public investment already highlight significant efficiency gaps. In some countries, studies estimate that a large portion of the value of public investment does not appear in actual productive capacity. This can be due to poor project selection, weak feasibility analysis, inadequate procurement practices, insufficient oversight, or limited maintenance after construction. Political considerations may influence project choices more than economic logic, leading to investments that are visible but not strategically important.

Wasted capital in public investment has several consequences. It increases debt or draws down fiscal buffers without delivering commensurate growth or productivity. It crowds out other uses of funds that might have been more effective, such as targeted improvements to key transport corridors, power systems, or education and training institutions. It also undermines public confidence in state capacity, which can affect willingness to support reforms and taxation.

At the same time, underinvestment or misaligned investment in critical infrastructure sectors such as energy, logistics, and connectivity directly constrains private productivity. When firms cannot rely on power, face high transport costs, or lack access to digital networks, their ability to adopt technology, expand operations, and improve efficiency is limited. This makes the quality of public investment as important as its quantity.

## 7.3 Productivity at the firm level versus the macro level

Productivity is often discussed in macro terms, but its real work happens inside firms. The divergence between firm-level productivity and macro productivity is therefore a central financial issue.

In many African economies, a small number of large firms and well-run medium enterprises

achieve reasonable levels of productivity and profitability. They may operate in sectors such as telecoms, banking, formal retail, logistics, and selected manufacturing or resource industries. These firms are able to harness capital, technology, and skilled labour to generate respectable returns.

By contrast, a vast number of micro and small enterprises operate with low productivity, thin margins, and limited access to formal finance. They are concentrated in agriculture, informal trade, basic services, and household enterprises. Their financial lives are short cycle and precarious. They lack the capacity to invest, to withstand shocks, or to compound productivity gains over time.

When macro productivity is measured, it reflects this distribution. The strength of a small group of productive firms is diluted by the weakness of a large informal and low productivity base. Growth at the top does not fully offset stagnation at the bottom. This explains why aggregate productivity figures can appear flat even when some firms are doing well.

From a financial perspective, this divergence means that capital and talent are not being spread widely across productivity-enhancing enterprises. Credit, equity, and human capital tend to cluster in a relatively small set of firms, leaving the majority of enterprises undercapitalised and undertrained. As long as this structure persists, macro productivity will remain constrained because the average firm is not yet a strong platform for turning capital into wealth.

#### **7.4 Returns, competitiveness, and the cost structure problem**

Africa's competitiveness challenge is closely tied to its cost structures. Firms frequently face higher costs for energy, transport, finance, and sometimes inputs than competitors in other regions. These costs eat into returns and reduce the ability of enterprises to invest in productivity improvements.

Energy costs are a clear example. In many countries, unreliable power supply forces firms to rely on generators, fuel, and additional equipment. This adds substantial operating costs and reduces the available capital for other investments. Logistics costs, including transport, warehousing, and port charges, are

often high due to infrastructure gaps and inefficiencies. Financing costs can be elevated due to perceived risk, shallow capital markets, and limited competition in banking.

When these costs combine, they create a narrow space for profitability. Even efficient firms can find their margins constrained by factors outside their immediate control. Lower competitiveness discourages investment in activities that face international competition, such as export-oriented manufacturing and tradable services. Firms may instead focus on domestic niches where they can pass costs onto consumers, but such strategies do not necessarily drive productivity or wealth creation.

This cost structure problem feeds back into returns on invested capital. If underlying costs remain high and markets are constrained, returns can be volatile and insufficient to encourage further deployment of capital. Investors become cautious, and firms restrict expansion. The result is a cycle in which high costs limit competitiveness, low competitiveness limits scale and returns, and weak scale and returns limit investment.

#### **7.5 Informality, low margins, and weak reinvestment cycles**

Informality shapes the financial dynamics of African economies. Micro and small informal enterprises dominate employment in many countries. They operate with low margins, limited financial services, and weak reinvestment cycles.

An informal enterprise typically has minimal separation between business and household finances. Revenues are used directly for consumption and immediate needs, with little room for savings or reinvestment. Accounting is rudimentary. Access to formal credit is rare, and when it exists, it often comes with high interest rates and short tenors.

These conditions make it difficult for informal firms to increase productivity. They have little capacity to purchase better equipment, improve premises, invest in training, or adopt technology. They also face uncertainty over tenure, regulation, and market access.

From a macro perspective, the prevalence of such firms limits the aggregate reinvestment rate

in productive capacity. A large share of economic activity occurs within enterprises that cannot compound improvements over time. Even when output rises, the financial lives of these enterprises remain short-term and constrained.

This pattern constrains wealth creation. Without strong reinvestment cycles, assets do not accumulate, and productivity gains remain sporadic. Informality becomes a financial bottleneck as much as a regulatory one. Addressing it requires not only legal and administrative reform, but also the creation of financial and business ecosystems that can support the growth and formalisation of enterprises.

## 7.6 Wealth creation, income transmission, and enterprise resilience

Wealth creation in an economy depends on how income is generated, transmitted, and retained. In Africa, weaknesses in income transmission and enterprise resilience limit the ability of growth to build wealth.

Income transmission refers to the way gains in output and productivity translate into higher incomes for workers, returns for investors, and fiscal resources for states. When labor productivity rises, wages should increase. When firms become more efficient, they should earn higher margins. When economies grow, tax revenues should expand. In many African contexts, these transmission mechanisms are incomplete. Wages remain low, profits volatile, and tax bases narrow.

Enterprise resilience is equally important. Firms need the capacity to withstand shocks, adapt to change, and continue investing. Yet many African enterprises are vulnerable. They face liquidity stress when conditions soften, struggle to access bridging finance, and may not have the buffers needed to survive disrupted periods. This fragility leads to closures, job losses, and the destruction of capital when shocks occur.

Weak income transmission and low resilience mean that even when growth and productivity gains happen, their effects are fragile. Incomes may rise temporarily but fall back during downturns. Firms may invest briefly and then retrench. Governments may expand spending but be forced to cut later. Wealth is not steadily built; it ebbs and flows with cycles.

From a financial perspective, strengthening transmission and resilience requires attention to wage structures, social protection, fiscal design, risk management, and capital access. It also demands that productivity gains be embedded in durable institutional and business practices rather than left as temporary improvements.

## 7.7 What a productivity-led economy would look like financially

A productivity-led African economy would look different in financial terms from the current pattern. It would not only grow faster; it would convert growth into wealth more effectively.

Public investment would be more disciplined, focused on high-impact infrastructure and systems with strong returns. Efficiency gaps would narrow as project selection, procurement, implementation, and maintenance improve. Debt would be managed with clearer links to productivity-enhancing assets, ensuring that borrowing contributes to future capacity rather than only to short term relief.

Private investment would flow more into sectors and firms capable of sustained productivity gains. Medium sized and large enterprises would expand in manufacturing, logistics, tradable services, and technology-intensive fields. Cost structures would improve due to better infrastructure, more competitive finance, and supportive regulatory frameworks. Returns on invested capital would be more stable and attractive, encouraging reinvestment and innovation.

Informality would decline gradually as more enterprises gain access to formal finance, markets, and legal protections. Reinvestment cycles would strengthen, leading to asset accumulation and improved resilience. Wage employment would expand alongside productivity, supporting stronger income transmission to households.

Overall, the financial profile of a productivity-led economy would show higher and more evenly distributed returns, stronger balance sheets, deeper investment in productive capacity, and a more robust link between growth and wealth creation. The remaining chapters of this report focus on how governments, businesses, investors, and regional institutions can move Africa closer to that profile.



# Strategic Recommendations and Best Practices



## A Disorganized Team Can Destroy A Good Business

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## 8.1 What Governments must do differently

Governments sit at the centre of Africa's productivity challenge. Their decisions about public investment, regulation, education, and institutional design shape whether growth can become wealth. To change the trajectory, they must move from managing crises and short term expansion to building the foundations of a productivity-led economy.

First, governments need to sharpen the focus and quality of public investment. This means prioritising infrastructure that directly lowers costs and raises competitiveness: reliable energy, efficient transport corridors, logistics hubs, and digital networks. Project selection should be based on clear economic criteria, with rigorous feasibility analysis and transparent procurement. Maintenance must be treated as an investment, not an afterthought. Spending on visible but low impact projects must be reduced in favour of fewer, higher quality investments.

Second, states must modernise and simplify the regulatory environment. Firms require predictable, fair, and efficient rules to invest in productivity. This includes clarifying land rights, streamlining licensing and approvals, reducing duplication between agencies, and improving the functioning of commercial courts and dispute resolution. Regulations should be designed to encourage competition and innovation while protecting basic standards, rather than to create barriers and discretion.

Third, governments must invest more strategically in human capital. Education systems need to produce graduates with foundational skills and the ability to adapt, not only credentials. Technical and vocational training must be aligned with the needs of industries that can drive productivity: manufacturing, logistics, modern services, and technology. Partnerships between training institutions and firms should be encouraged, and lifelong learning opportunities made more accessible.

Fourth, states should strengthen institutions that support structural transformation. This includes agencies responsible for industrial policy, trade facilitation, innovation, and investment promotion. These institutions must be capable, adequately funded, and insulated as far as possible from short term political cycles. Their role is to coordinate efforts across

ministries, design supportive frameworks, and provide continuity.

Finally, governments must adopt a more integrated approach to economic policy. Productivity is not improved by isolated measures. Industrial, trade, infrastructure, education, and innovation policies must be aligned so that they reinforce one another. Long term planning and transparent communication can help build confidence among firms and investors that transformation efforts are genuine and sustained.

## 8.2 What businesses must do differently

Businesses are the primary engines through which productivity and wealth are created. For Africa's growth to produce more wealth, firms themselves must adopt strategies that prioritise efficiency, capability, and resilience rather than only expansion.

First, enterprises should treat productivity as a deliberate objective. This means looking beyond revenue growth to examine how much value is produced per worker, per unit of capital, and per unit of time. Firms should invest in process improvements, better equipment, data use, and training with the explicit aim of raising productivity. Management teams must be willing to challenge entrenched routines and adopt more disciplined operational practices.

Second, businesses need to strengthen management quality. Good management is one of the most consistent predictors of firm productivity and growth. This involves clearer planning, performance tracking, transparent governance, and the use of data to inform decisions. Owners and managers may need to seek external expertise, participate in training programmes, or bring in professional management to complement entrepreneurial vision.

Third, firms should engage more actively with technology and innovation. Even modest steps can make a difference. Examples include adopting digital tools for inventory and customer management, using data to understand demand patterns, and exploring automation for repetitive tasks. Larger firms should consider investing in advanced technologies that support production, logistics, and analytics. Innovation does not always require frontier tools; it often begins with

better use of existing technologies.

Fourth, businesses must pay more attention to resilience. This includes managing leverage carefully, building buffers for liquidity, diversifying customers and suppliers, and planning for shocks. Enterprises that can withstand difficult periods are more likely to sustain productivity improvements and continue investing.

Finally, firms should cultivate partnerships. Collaborations with other businesses, training institutions, technology providers, and public agencies can help spread costs, share knowledge, and open markets. Productivity often improves faster when firms are part of ecosystems rather than isolated entities.

### 8.3 What investors and lenders should prioritise

Investors and lenders play a critical role in directing capital toward activities that build productive capacity. To support wealth creation, they must shift emphasis from growth narratives alone to the underlying quality of businesses and sectors.

First, investors should prioritise enterprises that demonstrate clear productivity potential. This includes firms in manufacturing, logistics, tradable services, and technology-enabled operations that can scale and improve efficiency. Due diligence should examine not only market size but also management quality, operational discipline, and the ability to compound gains.

Second, capital providers must pay closer attention to business models. Ventures that rely solely on expansion without robust unit economics and strong cash conversion will struggle to contribute to wealth creation. Investors should favour models where productivity improvements, cost control, and sustainable margins are central, even if growth is slower.

Third, lenders should adapt credit products to support productivity investments. This means designing financing instruments with tenors and terms suitable for upgrading equipment, expanding capacity, and adopting technology. Strict collateral requirements based only on real estate or short term assets can limit the ability of productive firms to access capital. Risk management must remain prudent, but product

design should reflect the realities of building productive enterprises.

Fourth, both investors and lenders should consider ecosystem impact. Supporting a single successful firm has value, but backing multiple connected projects in sectors such as logistics, energy, and industrial services can create broader productivity gains. Capital can be used to strengthen networks as well as individual entities.

Finally, investors should engage with policy and institutional developments. Understanding the direction of reforms in land, tax, trade, and innovation can help them identify opportunities and avoid risks. Constructive dialogue with policymakers can also support the design of frameworks that encourage productive investment.

### 8.4 What regional institutions and ecosystem partners must improve

Beyond national governments and individual firms, a wider set of actors influences Africa's productivity trajectory. Regional institutions, development finance organisations, business associations, and knowledge networks all play roles that can accelerate or slow transformation.

Regional economic bodies must work to deepen integration in ways that reduce trade fragmentation and logistics costs. Effective implementation of regional trade agreements, harmonisation of standards, and coordination on cross-border infrastructure can make it easier for firms to participate in larger markets and value chains. This, in turn, encourages investment in higher productivity activities.

Development finance institutions have a particular responsibility to support productivity-enhancing projects that commercial capital may find difficult to fund alone. This includes investments in infrastructure, blended finance arrangements for affordable housing and industrial zones, and support for innovation ecosystems. Their work should focus on catalysing private investment, sharing risk in strategic projects, and building capacity in key institutions.

Business associations and chambers can help improve firm capability by offering training, peer learning, and advocacy. They can disseminate best practices in management,

technology adoption, and compliance, and provide platforms for collaboration among enterprises.

Knowledge networks and research organisations must continue to analyse and communicate the realities of Africa's growth and productivity challenge. Clear, accessible insights into what works and what fails can help guide policy, investment, and business strategy.

Together, these ecosystem partners can move Africa's economies closer to a context in which productive firms and sectors can thrive, and in which structural transformation is supported across borders rather than limited to individual countries.

### 8.5 Sequencing priorities

Productivity-led transformation cannot be achieved overnight. It requires sequencing priorities so that foundational changes support more advanced ones. The order matters because certain reforms and investments are prerequisites for others.

At an early stage, countries should focus on stabilising macro conditions and improving core infrastructure. Without basic fiscal discipline, manageable debt, and reliable energy and transport, efforts to build productive sectors will be constrained. In parallel, clarifying land rights and simplifying key regulations can lay groundwork for investment.

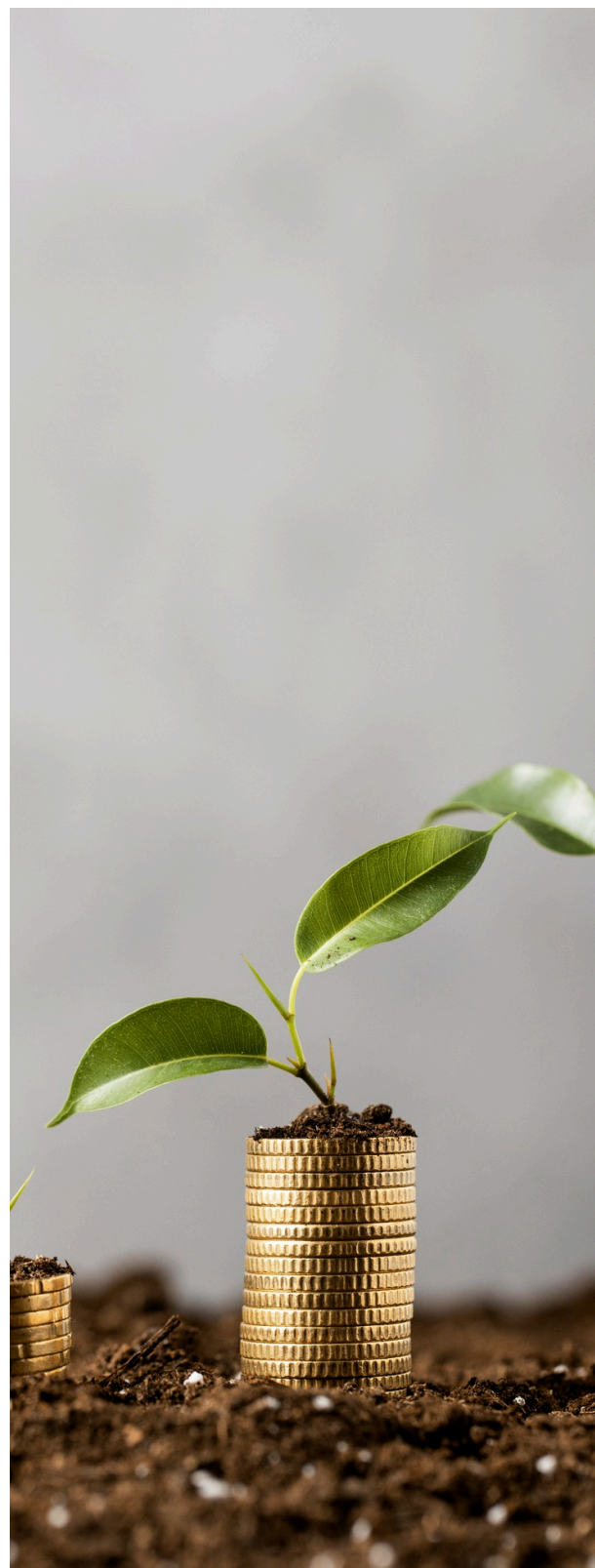
Once this foundation is in place, attention can shift toward building industrial and service ecosystems. This includes supporting strategic sectors where countries have comparative or potential advantage, investing in logistics and supply chains, and strengthening medium-sized and large enterprises. At this stage, education and training efforts should be aligned with the skills required by these sectors.

Further along the sequence, innovation and technology systems can be deepened. Governments and firms can invest more aggressively in digital infrastructure, R&D, and advanced skills. Public institutions can use data and technology to improve service delivery and policy targeting.

Throughout, the sequencing must be flexible. Countries differ in starting points and capacities. Some may be able to advance on multiple fronts, while others need to

concentrate on a narrower set of priorities. The key is to ensure that each step supports productivity rather than simply adding activity.

By sequencing efforts carefully, Africa can avoid scattering limited resources across too many fronts and instead build a coherent path from stabilised growth to genuine wealth creation



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# Industry Case Studies

### 9.1 Growth without enough productive jobs

Consider a hypothetical lower-middle income African country that has grown at an average of four percent a year for a decade. The national accounts show expansion driven by services, construction, and trade. New malls, housing estates, and office blocks have appeared in the capital city. Mobile penetration has increased, and consumption of imported goods has risen.

Yet employment data reveals that most new jobs are informal and low-productivity. Wage employment has grown only slowly, concentrated in a few sectors such as public administration, formal retail, banking, and large construction firms. The majority of young people entering the labour market work as motorcycle taxi operators, informal traders, mobile money agents, and casual labourers. Their incomes are volatile, social protection minimal, and opportunities for skill development limited.

Firms in higher productivity sectors remain few and face many constraints. Manufacturing plants struggle with power outages and high logistics costs. Export-oriented agribusinesses operate in narrow niches and cannot absorb large numbers of workers. Advanced services like business process outsourcing or specialised logistics are small.

In this scenario, growth is visible but does not create enough productive jobs. The economy expands, but the labour market does not shift strongly into roles that raise productivity and wages. The case illustrates why growth alone is not sufficient. Without deliberate efforts to build sectors and firms capable of absorbing workers productively, the link between growth and employment remains weak, and wealth creation limited.

### 9.2 Public investment without proportional productivity gains

Imagine a country that has invested heavily in large infrastructure projects over the past decade. It has built new highways, flyovers, a modern airport terminal, and several power plants. These projects were financed through a mix of domestic revenue, borrowing, and development finance. Grand opening ceremonies celebrated their completion, and they feature prominently in government communications.

However, detailed analysis shows that the productivity impact of these investments is uneven. Some highways connect areas with limited industrial or agricultural activity, and traffic volumes remain low. The new airport terminal is underused due to limited air connectivity and tourism infrastructure. Power plants operate below capacity because distribution networks are weak and tariff structures unresolved.

Meanwhile, critical bottlenecks in logistics and energy persist elsewhere. Industrial zones lack reliable last-mile infrastructure. Rural roads remain poor, limiting farmers' access to markets. Urban transport systems are congested, raising costs and reducing efficiency.

This case shows how public investment, even when large, can fail to generate proportional productivity gains if project selection, integration, and maintenance are weak. Capital is deployed, but much of it is effectively wasted or underutilised. The economy carries the burden of debt and opportunity cost without receiving full benefits. For wealth creation, the quality and strategic alignment of public investment matters as much as the amount.

### 9.3 Informal expansion versus formal wealth creation

Consider a major African city where economic activity has expanded rapidly over the last fifteen years. Population growth, rural-urban migration, and consumer demand have led to a proliferation of informal markets, street vendors, transport operators, small workshops, and home-based enterprises.

On the surface, the city is vibrant. Streets are busy, goods move, services are provided, and cash circulates. Yet most of these enterprises operate informally. They have no formal registration, limited access to banking, and little engagement with tax or regulatory systems. Their business models are survival oriented: buy small quantities of goods, sell quickly, and use revenues to cover immediate needs.

Because margins are thin and risk high, reinvestment is minimal. Few enterprises accumulate capital or expand significantly. Most remain micro businesses that close or change form when shocks occur. Workers move fluidly between activities, but their skills do not deepen much, and their ability to build assets is limited.

Formal firms in the city, by contrast, are fewer and face high costs. They must comply with regulations, pay taxes, and invest in infrastructure such as proper premises and accounting systems. Their advantages in productivity and stability are real, but they often struggle to compete with informal counterparts on price.

The result is an economy where informal expansion sustains activity but does not create strong wealth. The number of enterprises and jobs grows, yet the average productive capacity of firms and workers remains low. This case illustrates why informality is a barrier to wealth creation even when it supports livelihoods. Without pathways for firms to formalise, scale, and invest, growth remains trapped in low value segments.

#### **9.4 Technology adoption that improves output quality and efficiency**

Not all stories are of constraint. In several African markets, targeted technology adoption has improved productivity, even within existing structural limitations. Consider an agricultural processing company that operates in a region with inconsistent power and limited road infrastructure.

The company historically relied on manual processes, basic equipment, and paper based record keeping. Output was modest, quality variable, and waste high. Over time, management decided to invest in a combination of technologies: solar-assisted power systems to reduce reliance on generators, automated grading and packaging equipment, and digital tools for inventory and supply chain management.

These changes did not transform the entire macro environment, but they significantly improved the firm's performance. Energy costs fell and became more predictable. Quality improved due to better processing and grading. Waste reduced as inventory management became more precise. The company could meet higher standards for both domestic and export markets.

As a result, margins improved and reinvestment became possible. The firm expanded capacity, hired more workers, and offered training. It became a local anchor, buying from more farmers and providing a stable market.

This case demonstrates that technology adoption, even at the enterprise level, can raise productivity and support wealth creation. It does not solve all structural challenges, but it shows how firms can use capital and innovation to improve their own position and contribute to broader economic gains.

#### **9.5 Lessons from economies that improved transmission from growth to wealth**

Finally, consider African economies that have made progress in improving the transmission from growth to wealth, even if challenges remain. These countries share several traits.

They have invested in core infrastructure that genuinely reduces costs for firms and households, such as reliable power and key transport corridors. They have implemented reforms that simplify doing business, clarify property rights, and improve contract enforcement. They have supported specific sectors where productivity and job creation potential are high, including manufacturing niches, logistics platforms, and modern services. They have strengthened education and training systems in collaboration with industry, creating clearer pathways from schooling to productive employment.

As a result, these economies exhibit more robust growth in wage employment, stronger medium-sized and large enterprise sectors, and better integration into regional and global value chains. Their productivity metrics, while not yet at advanced economy levels, show more positive trends than those of peers.

The lesson from these cases is that Africa's productivity challenge is not immutable. When countries and firms align public investment, regulation, education, and business strategy around productivity, the transmission from growth to wealth can improve. It requires coordination, patience, and discipline, but the examples provide practical evidence that progress is possible.

These case studies ground the report's analysis in real patterns. They show what happens when growth does not produce enough wealth, and what can happen when productivity becomes central to policy and enterprise decisions.



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# Conclusion

Africa stands at an inflection point where the gap between economic growth and wealth creation can no longer be treated as a background issue. The continent has proven that it can grow. For more than two decades, African economies have repeatedly shown resilience in the face of shocks, with output rising in many countries, new sectors emerging, and investment flowing into infrastructure and services. Yet the lived reality of many households and firms tells a different story. Incomes have not risen as fast or as widely as they should. Formal, well paid jobs are not appearing at the scale required. Enterprises remain fragile, and public balance sheets are under pressure.

This report has argued that the core reason for this disconnect is a persistent productivity challenge. Growth has not been matched by sufficient improvements in how labour and capital are used. Labour productivity across much of Sub Saharan Africa has been nearly flat over long periods. Total factor productivity, which captures economy wide efficiency, has contributed only modestly to expansion. Structural transformation has moved workers out of agriculture in some countries, but too often into low productivity urban services rather than into higher productivity manufacturing and tradable sectors. Public investment has been large but not consistently efficient. Technology and innovation have been discussed more enthusiastically than they have been deployed in practice.

As a result, what emerges is a pattern of economies that are active without being deeply productive. Output rises, but the transmission into wealth is weak. Growth does not reliably produce strong wage employment, broad asset accumulation, or robust enterprise resilience. Many workers remain in informal or low productivity roles. Many firms operate with thin margins and limited capacity to invest. Governments spend but do not always build assets capable of generating long term returns.

The analysis in this report has made three key points:

First, growth without productivity cannot create broad wealth. When economies expand mainly through factor accumulation and consumption, without raising value per worker or per unit of capital, they simply stretch existing systems. They require more inputs for similar outputs, and they produce gains that are

easily diluted by population growth and volatility. Wealth creation requires sustained increases in productivity, which in turn demand structural transformation, better capital allocation, and stronger institutions.

Second, Africa's barriers to productivity are interlocking. Weak industrial depth, high debt service, limited fiscal space, low private investment, skills gaps, trade fragmentation, logistics costs, and governance weaknesses reinforce each other. Addressing one in isolation is rarely enough. For example, building new roads will not yield full benefits if firms lack the capability to use them, if power remains unreliable, or if regulatory uncertainty discourages investment. Improving education will not transform productivity if graduates cannot find roles in sectors that can use their skills.

Third, the continent's demographic profile raises the stakes. A rapidly growing and youthful population can be a powerful asset if economies can create productive jobs and paths for enterprise formation. If they cannot, it becomes a pressure point. Large numbers of young people may be pushed into low productivity, informal occupations, with limited prospects for income growth or asset accumulation. The opportunity to turn demographics into a catalyst for wealth can be missed, leaving frustration and social strain instead.

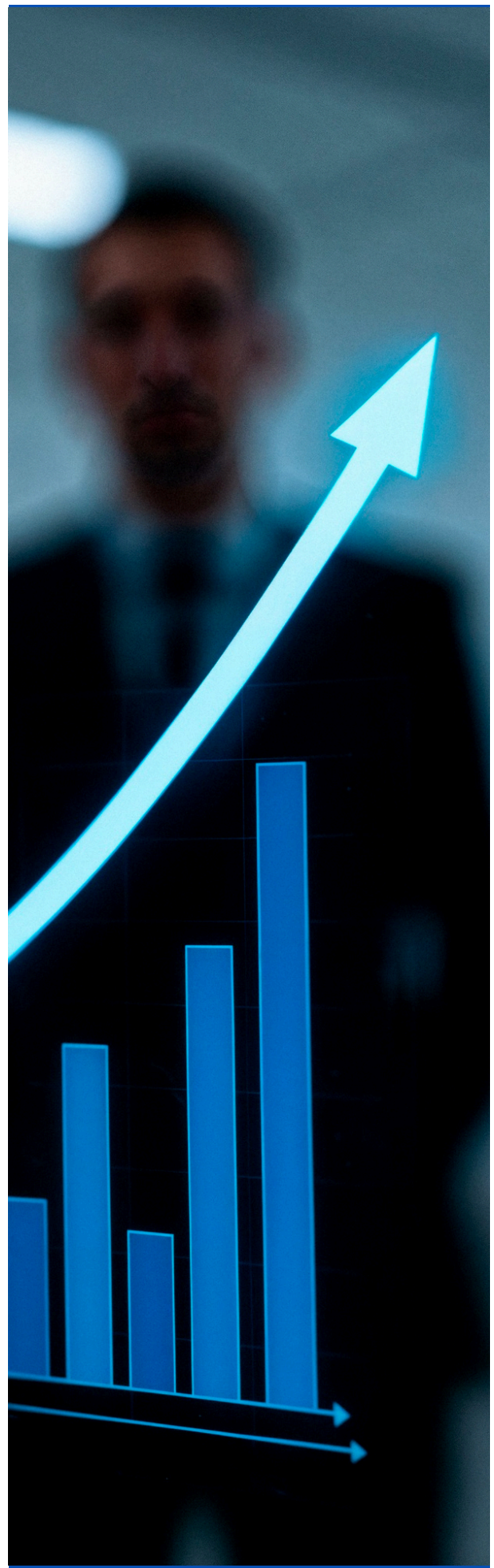
Against this backdrop, the report's strategic recommendations are not suggestions at the margin. They are an agenda for changing how Africa's economies function. Governments must improve the quality and targeting of public investment, modernise regulations, invest in human capital, and strengthen institutions that support structural transformation. Businesses must adopt productivity centred strategies, strengthen management, embrace appropriate technologies, and build resilience. Investors and lenders must underwrite ventures and projects that genuinely raise productive capacity and avoid models that rely on expansion without sound economics. Regional bodies and ecosystem partners must deepen integration, reduce trade friction, and support innovation and finance platforms.

The conclusion is therefore both sober and hopeful. It is sober because Africa's productivity challenge is serious and cannot be resolved quickly. It demands long term

discipline, institutional reform, and a willingness to confront difficult realities about how capital, labour, and policy have been used. It is hopeful because the analysis shows that productivity is not a mysterious force. It is the product of choices, systems, and behaviours that can be changed. Examples from within the continent demonstrate that when countries and firms align public investment, regulation, and business practice around productivity, the transmission from growth to wealth can improve.

In practical terms, the report suggests that Africa's economic success over the next decade will be measured less by the level of GDP growth and more by the quality of that growth. Successful economies will be those that manage to turn additional output into stronger firms, better jobs, higher incomes, and more resilient public and private balance sheets. They will be the economies that treat productivity as the central organising principle, and that judge policies and investments by their impact on how much value each unit of effort can generate.

The choice is not between growth and productivity. It is between growth that stagnates and growth that compounds. Africa has already shown that it can grow. The next stage is to ensure that growth creates wealth.





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# Acknowledgments

A report of this kind rests on the work of many people and institutions. Although this document speaks in a single voice, its analysis is grounded in a broad body of research, data, and practical experience generated across the continent and beyond.

This report draws heavily on the economic analysis produced by multilateral institutions that track Africa's macroeconomic performance, structural transformation, and productivity trends. Regular updates on growth, debt, and fiscal conditions provide the baseline against which productivity dynamics can be assessed. Flagship reports on Africa's economic outlook, structural transformation, and innovation-led growth have been crucial in sharpening the understanding of how output expansion interacts with sectoral change and labour markets.

Regional organisations and commissions have contributed important insights into integration, trade, and infrastructure. Their work on corridors, logistics, energy systems, and digital connectivity has helped clarify how physical and regulatory barriers affect productivity and wealth creation. Statements and reports prepared for ministerial meetings and regional summits have highlighted both achievements and remaining gaps.

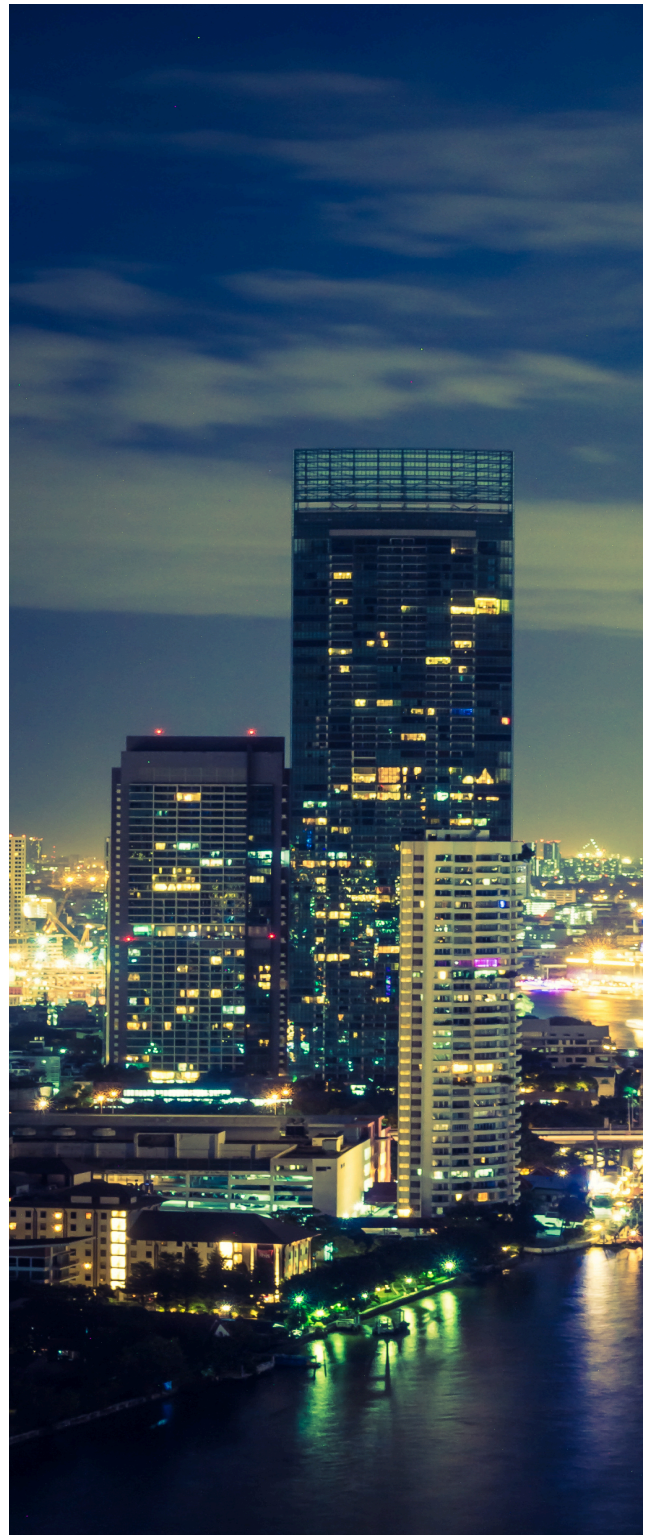
The report also acknowledges the contributions of research centres, universities, and independent think tanks that have studied firm dynamics, labour markets, informality, and job creation. Case studies of specific countries and sectors, analyses of pathways to employment, and examinations of the role of medium and large enterprises in productivity have been particularly valuable.

Development finance institutions and blended finance initiatives have provided practical perspectives on how capital can be structured to support productive investments in infrastructure, housing, and industry. Their experience in designing transactions that balance risk, return, and impact has informed the sections on capital efficiency and strategic recommendations.

Beyond formal publications, this report benefits from the lived experience and operational knowledge of policymakers, business leaders, managers, workers, and entrepreneurs across Africa. Their efforts to manage enterprises under difficult conditions, to implement reforms, and to innovate within constraints

form the real context in which productivity challenges are felt.

While it is not possible to list every contributor by name, the report recognises that its analysis stands on the cumulative work of many who have taken Africa's economic transformation seriously. The aim has been to bring their insights together into a coherent narrative that can support better decisions and more focused action.





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# Appendix

## 12.1 Core concepts and definitions

This section clarifies the main concepts that structure the report's analysis.

**Productivity** refers to the amount of value generated per unit of input. In this report, labour productivity is defined as output per worker or per hour worked, and total factor productivity captures the efficiency with which labour, capital, and technology are combined to produce output. Productivity is treated as the central determinant of whether growth becomes wealth.

**Structural transformation** describes the reallocation of labour and capital across sectors as economies develop. It involves movement from lower productivity activities, such as subsistence agriculture, into higher productivity sectors, including manufacturing, logistics, and advanced services. Effective structural transformation increases aggregate productivity and supports higher incomes.

**Informality** refers to economic activity that occurs outside formal regulatory, tax, and social protection systems. Informal enterprises and jobs are characterised by weak documentation, limited access to formal finance, and minimal compliance with labour and business standards. In this report, informality is examined as both a livelihood strategy and a structural barrier to productivity and wealth creation.

**Wealth creation** is used here as a broad economic concept rather than a narrow accounting measure. It encompasses rising incomes, asset accumulation, stronger enterprise balance sheets, improved public finances, and enhanced capabilities. It is distinguished from output growth, which may occur without significant changes in these underlying elements.

**Capital efficiency** refers to how effectively public and private capital are converted into productive assets and sustained returns. High capital efficiency means that investment results in infrastructure, firms, and systems that raise productivity and support long-term wealth creation. Low efficiency implies misallocation, underutilisation, or waste.

**Resilience** in this context describes the ability of firms, households, and states to withstand shocks without destroying productive capacity. It involves robust balance sheets, diversified income sources, effective risk management, and institutions capable of maintaining essential functions during stress.

## 12.2 How to read the key metrics in this report

The metrics used throughout the report should be interpreted with an understanding of both their utility and their limitations.

Growth rates express changes in output but do not automatically indicate improvements in productivity or wealth. When reading growth figures, readers should consider population growth, sectoral composition, and the source of expansion. High growth driven by consumption or temporary external conditions may be less meaningful for wealth creation than moderate growth driven by structural transformation and productivity gains.

Labour productivity indicators provide insight into how much value each worker generates. However, in economies with large informal sectors and data constraints, these measures may understate or misrepresent actual patterns. Readers should treat productivity figures as directional rather than precise and consider them alongside qualitative evidence about firm performance and sectoral change.

Employment data, especially on wage employment versus informal work, is crucial for understanding transmission from growth to jobs. A small increase in wage employment relative to growth indicates weak transmission. Where detailed labour market data is available, readers should pay attention to sectoral distribution, job quality, and youth employment conditions.

Investment ratios, both public and private, show how much capital is being deployed. They should be interpreted alongside efficiency and sectoral allocation. High investment directed at low impact projects may do less for productivity than more targeted investment at lower overall levels.

Fiscal and debt indicators reveal the space governments have for supporting transformation. High debt service relative to revenues limits capacity for new productivity-enhancing investment. Readers should examine these metrics with an eye on sustainability and the quality of underlying spending.

## 12.3 Analytical lens for productivity and wealth creation

The report's analytical framework can be summarised in four questions that readers can apply to countries, sectors, or firms:

- 1. Macro transmission:** How does output growth translate into changes in per capita income, wage employment, and fiscal strength? Do higher GDP figures correspond with meaningful improvements in living standards and public balance sheets?
- 2. Structural transformation:** Where are labour and capital moving? Are workers shifting into higher productivity sectors, and are new investments being made in activities that can sustain efficiency gains? Is the economy diversifying into sectors capable of strong value creation?
- 3. Capital efficiency:** How effectively are public and private investments being converted into productive assets? Are infrastructure projects and programmes reducing costs and enabling growth, or are they underperforming? Do firms use capital to upgrade capabilities or primarily to maintain current operations?
- 4. Enterprise capability:** What is the distribution of firm size and strength? Are there enough medium and large enterprises with robust management and technology adoption to drive productivity? Are small and informal firms receiving support to grow and formalise, or are they trapped in low-value routines?

Applying this lens can help policymakers, investors, and business leaders identify where interventions are most needed and how different elements of the system interact.

## 12.4 Stages of structural transformation in African economies

This section outlines indicative stages through which African economies may pass as they move from growth without wealth to more productivity-led development.

### Stage 1: Agriculture and basic services dominance

Most labour is in agriculture and simple services. Industrial activity is minimal. Informal

enterprises dominate. Productivity is low, and growth is driven mainly by factor accumulation and external conditions.

### Stage 2: Early urbanisation and informal expansion

Labour begins to move into cities. Services expand rapidly, primarily in informal trade, transport, and basic urban services. Manufacturing and formal services grow but remain small. Output rises, but productivity gains are limited, and wealth transmission is weak.

### Stage 3: Emerging industrial and modern service clusters

Selected sectors, such as manufacturing niches, logistics, and formal services, start to grow more strongly. Medium-sized and large enterprises appear and begin to drive productivity gains and formal job creation. Public investment in core infrastructure improves. However, large parts of the economy remain low productivity.

### Stage 4: Broadening structural transformation

Industrial and modern service sectors reach sufficient scale to absorb significant labour. Informality begins to decline as more firms formalise and integrate into supply chains. Productivity rises more consistently. Growth translates more strongly into incomes, jobs, and asset accumulation. Public investment efficiency improves.

### Stage 5: Consolidated productivity-led economy

Higher productivity sectors dominate employment and output. Technology and innovation systems are embedded. Firms compete effectively domestically and internationally. Public and private balance sheets are stronger. Growth is driven primarily by productivity gains and structural transformation, and wealth creation is broad.

Countries may move through these stages at different speeds and with variations, but the framework helps contextualise current positions and potential paths.

## 12.5 Early warning signs of growth without wealth creation

Finally, the report identifies early warning signs that an economy's growth may not be translating into wealth. Leaders should pay attention when:

- Labour productivity remains flat or rises only marginally despite several years of positive growth.
- Wage employment grows slowly, and most new jobs are informal, precarious, or low productivity.
- Public investment is high, but infrastructure quality and service reliability do not improve proportionately.
- Growth is concentrated in sectors with limited productivity potential, such as basic trade and non-tradable services, while manufacturing and advanced services remain small.
- Debt service consumes a growing share of public revenues, constraining productive investment.
- Firms report high costs for energy, logistics, and finance that limit competitiveness and investment in upgrading.
- Informal enterprises proliferate, but few transition into formal, productive firms.
- Youth unemployment or underemployment remains high despite overall growth.
- Social frustration and inequality indicators worsen even in periods of expansion.

These signs do not necessarily mean that growth is meaningless. They do mean that leaders should interrogate the structure and transmission of that growth more deeply. The aim of this appendix, and of the report as a whole, is to provide tools for that interrogation and to support decisions that move Africa closer to an economy where growth reliably creates wealth.

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The background is a solid blue color with a faint, abstract geometric pattern of lines and dots. In the center, the text "BUSINESS360. INTEL" is displayed in a bold, white, sans-serif font. The text is slightly offset to the left. The overall aesthetic is modern and professional, typical of a corporate branding document.

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